ANNUAL ACCOUNTS

English

2025

Sibelga
Energizing Tomorrow

sibelga.be

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Report of the board of directors

TO THE GENERAL MEETING OF SHAREHOLDERS ON 11 JUNE 2026
ON ACTIVITIES FOR THE 2025 FINANCIAL YEAR

Ladies and Gentlemen,

In accordance with the law and the Articles of Association, we have the honour of reporting to you on the activities of our company during its forty-fourth financial year and submit for your approval the balance sheet, the profit and loss account at 31 December 2025, the notes to the accounts and the distribution of profits as required by Article 40 of the Articles of Association. This report is drawn up in accordance with Articles 3:5 and 3:6 of the Companies and Associations Code (CSA).

I. Preliminaries

Although Sibelga is reporting on its activities for its forty-fourth financial year, this is in fact the twenty-third financial year in the configuration resulting from the merger of distribution network management activities in the Brussels region, and the seventeenth in a fully liberalised environment.

- Following the full liberalisation of the electricity and gas markets, the intermunicipal company is focusing on its business as a distribution network operator, and its turnover now consists almost exclusively of grid fees paid by suppliers.

- It should be noted that the private partner withdrew from the intermunicipal agreement on 31 December 2012. Since then, the public authorities have held all the shares representing the capital.

- It should also be recalled that an ordinance amending the electricity and gas ordinances, in particular with a view to organising a new framework for distribution tariffs, was adopted by the Brussels Parliament on 25 April 2014. It came into force, as far as the provisions introduced on tariff methodology and tariffs are concerned, on 1 July 2014, i.e. the date on which Article 19 of the special law of 6 January 2014 on the sixth reform of the State came into force, transferring powers over distribution tariffs to the regions.

  Under this ordinance, Brugel, the Brussels regulator for the electricity and gas markets, has the power to establish a tariff methodology for the distribution of electricity and gas and to approve distribution tariffs established in accordance with this methodology.

- The electricity and gas ordinances were last amended by an ordinance published in the Moniteur belge on 20 April 2022, which came into force on 30 April 2022. Among other things, it reshapes the framework applicable to the deployment of smart meters and transposes the new European obligations relating to electricity and gas, particularly in terms of energy sharing.

II. Regulatory framework

Following consultation with the network operator and the official consultation, the regulator BRUGEL approved, at its Board of Directors meeting on 28 November 2023, the decisions relating to the electricity and gas tariff methodologies applicable for the 2025–2029 regulatory period, as regards the regulatory model and the regulatory framework.

The decisions concerning the tariff structure and the terms and conditions of application were subsequently approved by the regulator on 19 March 2024. These decisions were taken in accordance with the provisions of Article 9c of the Electricity Ordinance and Article 10a of the Gas Ordinance.

The tariff methodologies applicable for the current 2025 financial year are based on the following main elements:

- 5-year tariff period (2025–2029);
- TOTEX approach integrating CAPEX and OPEX within a global framework, with incentives for efficiency;
- provisions are no longer included in the tariff base: only duly substantiated actual costs are now taken into account. The aim of this measure is to avoid hidden margins and increase transparency;
- determination of a rate of remuneration (WACC) fixed for the entire regulatory period to ensure stability and predictability;
- stronger incentive regulation on controllable costs, with uncapped bonus/malus mechanisms;
- support for energy transition and quality of service as part of the target-based incentive regulation model (KPI);
- a cap on controllable costs based on historical budgets, adjusted with indexation and specific rules for IT-related costs;
- the possibility to submit requests for "additional costs" for significant projects beyond business-as-usual (BAU), such as smart meter deployment or additional CAPEX linked to increased investment in the electricity network;
- efficiency factor of 0.75% applied annually to controllable operating costs;
- BRUGEL's intention to strengthen cost control and progressively reduce regulatory balances to limit their impact on tariffs;
- Specifically for gas, in order to limit the risks of "stranded assets", immediate assumption of indirect costs and accelerated depreciation for new investments in gas networks whose normal lifespan exceeds 2050.

On the basis of these tariff methodologies, Sibelga submitted tariff proposals to BRUGEL (one for electricity, the other for gas), which were validated by the regulator. In particular, these tariff proposals determine:

- A Maximum Allowed Revenue (MAR) envelope for 2025–2029, forming the basis for authorised costs, including remuneration and incentives on controllable costs; and
- A tariff trajectory for the same period.

The regulatory framework applicable to the financial year results from the following decisions:

1. DECISIONS

1.1. DECISIONS ON THE APPROVAL OF ELECTRICITY AND GAS TARIFFS FOR THE PERIOD 2025–2029

Under the tariff methodologies approved by Brugel, Sibelga submitted its tariff proposals for the period 2025–2029 in September 2024. Brugel approved these tariffs at the end of November 2024, in its decision 20241126-285bis, covering all activities for the next five years.

Important clarification: for electricity tariffs, the approval covers only the years 2025 to 2027.

In accordance with the tariff methodology, Sibelga must submit a new tariff proposal for the years 2028 and 2029 by 1 September 2027 at the latest (or any other date agreed with Brugel), incorporating the implementation of advanced tariff structures. This proposal will take into account the latest volumetric data available and the regulator's latest decisions on advanced tariff structures.

1.2. DECISIONS ON KPI PERFORMANCE TRAJECTORIES AND ON THE INTRODUCTION OF INCENTIVE INDICATORS FOR 2025–2029

For the period 2025–2029, Brugel has confirmed that the incentive mechanism based on KPIs will be maintained and extended. The objectives now focus on:

- Service quality and continuity
- Innovation and digitalisation
- Energy transition and user services

The principles and procedures for these KPIs were set out in decisions 20231128-250 (regulatory framework and incentives) and 20240319-264 (tariff structure and integration of KPIs).

These indicators are applicable from 2025, with certain changes planned for 2026 for SmartGrid projects (see decision 20251216-378) and meter communication capabilities (see decision 20251216-378).

1.3. DECISIONS ON SPECIFIC TARIFF ADJUSTMENTS

The 2025 tariffs have not been the subject of a specific proposal since this is the first year of the 2025–2029 tariff period and they were approved by Brugel in November 2024 by its decision 20241126-285bis.

1.4. DECISIONS ON TARIFF BALANCES AND FINANCIAL INCENTIVES FOR THE 2024 FINANCIAL YEAR

With these decisions, the regulator has checked the electricity and gas tariff balances for 2024 and validated the results of the KPIs on service quality, resulting in a financial incentive for Sibelga. These decisions result in a correction of the 2024 regulatory balances totalling €147,576 in favour of the Regulatory Funds, and the granting of a financial incentive totalling €397,797 based on Sibelga's 2024 service quality performance via decisions 20251007-332 and 20251007-333. These two adjustments are reflected in Sibelga's 2025 accounts.

2. SUMMARY

The tariffs applicable in 2025 are based on the 2025–2029 tariff proposal. This results from the determination of a forecast tariff budget and forecast distributed quantities. The tariffs are the result of dividing this budget by the quantities.

The tariff budget is made up of three main elements:

- controllable costs;
- non-controllable costs;
- the fair margin.

The **fair margin** included in the tariffs for the 2025–2029 period is calculated on the basis of the forecast RAB (network value) and a rate of return (WACC) set for the entire regulatory period, ensuring stability and predictability. Financial charges, which constituted non-controllable costs in the previous tariff period, are now covered through the remuneration of invested capital within the WACC model.

Costs are categorised between controllable and non-controllable according to the tariff methodology. OPEX over which the DSO has control are considered controllable. Furthermore, CAPEX, through depreciation and disposals, which were considered non-controllable in the previous tariff period, are now also part of controllable costs. Taxes, losses in the electricity network, public service obligations, non-capitalised pension costs, and exceptional charges are the main non-controllable costs of the 2025–2029 methodology.

The tariff proposal, comprising the tariff budget, forecast quantities and tariffs, is submitted to the regulator for approval. At the end of the procedure, the proposal, adapted if necessary, is approved by the regulator.

The DSO's actual regulated remuneration is made up of three elements:

- the actual fair margin calculated on the basis of the actual RAB (average for the year) multiplied by the WACC less financial charges,
- the incentive on controllable costs,
- incentives based on service quality objectives (KPIs),

The difference between controllable costs determined ex-ante and realised controllable costs is now entirely borne or retained by the DSO. However, other differences are recorded as "tariff balances". These are:

- differences in non-controllable costs,
- differences in the fair margin (resulting from differences in the level of RAB),
- differences in revenue resulting from differences between projected and actual volumes.

The 2025–2029 tariff methodology introduces the following new rules regarding the management of these tariff balances:

- Return over two tariff periods of past balances (balances prior to 2024, year of introduction of the tariff proposal).
- Return, in principle[1] automatic, in N+2, of balances generated each year N of the tariff period; these balances must moreover be distinct for gas and electricity and with a separation between
  - differences arising from revenues and costs related to network usage tariffs
  - differences arising from revenues and costs related to PSO tariffs
  - differences arising from revenues and costs related to electricity transmission tariffs

In addition to these elements, actual remuneration also includes, albeit marginally, the corrections made following the regulator's analysis of the previous financial year, as well as the result of non-regulated activities.

3. EXTRACTS AND COMMENTS

This chapter presents a structured and commented summary of some of the main elements of the 2025–2029 pricing methodology. It aims to make the essential mechanisms governing the calculation of the maximum allowed revenue, the remuneration of invested capital and the evolution of the regulated asset base (RAB) understandable.

3.1. MAXIMUM ALLOWED REVENUE (MAR)

The maximum allowed revenue (MAR) represents all costs – including the fair margin – after deduction of revenues that Sibelga bears in the context of its regulated activities. It constitutes the financial basis enabling the network operator to carry out its missions while ensuring safety, reliability, efficiency and quality of service.

The MAR is calculated as follows:
$\mathbf{MAR_t = CC_t + NCC_t + RIC_t + Q_t + SR_t}$

Where,

- $\mathbf{CC_t}$ controllable costs for year t;
- $\mathbf{NCC_t}$ non-controllable costs for year t;
- $\mathbf{RIC_t}$ remuneration of invested capital (WACC × RAB);
- $\mathbf{Q_t}$: quality factor (bonus/malus) linked to non-financial performance;
- $\mathbf{TB_t}$: share of tariff balances allocated to year t.

The MAR is determined ex ante for each year of the 2025–2029 period (taking into account forecast inflation), then revised ex post in order

- to adjust certain components of controllable costs in line with actual inflation
- to adjust non-financial performance and tariff balances.

[1] Unless the balances are too large and/or there is an explicit agreement between Sibelga and the regulator

For the 2025 financial year, the total MAR (electricity + gas) amounts in the 2025–2029 tariff proposal to **€386.1m** (before revision of indexation and before revision of authorised depreciation based on actual 2024 figures).

a. Controllable costs

Controllable costs concern expenses directly under Sibelga's control and linked to the quality, safety and efficiency of the network. For 2025, they are set in the 2025–2029 tariff proposal at **€227.4m** (before revision of indexation and before revision of authorised depreciation on the basis of actual 2024 figures).

b. Non-controllable costs

Non-controllable costs include expenses over which the DSO does not have sufficient control. These include:

- purchase of network losses or their coverage;
- unmetered energy;
- non-capitalised pension costs;
- taxes and duties;
- cost of energy transit;
- public service obligations;
- transport costs charged by Elia;
- bad debts related to suppliers;
- long-service awards;
- soil remediation costs;
- exceptional charges imposed by the legal framework.

For 2025, they are set in the 2025–2029 tariff proposal at **€129.7m**.

c. Remuneration of invested capital

The remuneration covers the capital committed to the regulated asset base (RAB), whether from equity or debt. It is calculated *net of tax*, but before withholding tax.

For 2025, after deduction of the remuneration of regulatory funds, the remuneration of invested capital is set in the 2025–2029 tariff proposal at **€59.3m**

d. Quality factor (Q)

Set ex ante at **€0** for 2025, the quality factor will be recalculated ex post on the basis of Sibelga's non-financial performance.

e. Share of tariff balances allocated

Tariff balances generated before 2024 are returned through tariffs over two tariff periods.
For 2025, the 2025–2029 tariff proposal provided for the return of **€30.4m** of tariff balances.

Items excluded from the MAR

Certain items are explicitly excluded from revenue for 2025–2029:

- fines (systematically excluded) and certain compensation payments (except where attributable to Sibelga);
- provisions, excluding deferred tax[2];
- financial expenses, now covered via the RCI;
- transfers of expenses to fixed assets, not authorised for gas distribution.

3.2. REMUNERATION OF INVESTED CAPITAL (RCI)

The remuneration is intended to cover the cost of capital invested in regulated assets. It is calculated according to the rule:

RCI = WACC × RAB

Remuneration is determined *ex ante*, then adjusted *ex post* according to actual RAB.

Rule for calculating WACC

The WACC applied is a nominal Vanilla WACC, incorporating:

- a gearing ratio of 55%;
- a risk-free rate for equity capital of 2.91%;
- a market risk premium of 4.50%;
- a beta of 0.74;
- a cost of debt set at 3.822% based on a weighted historical average of the IRS10 rate, and a fixed premium of 100 basis points (1%), plus 15 basis points (0.15%) in transaction costs.

The parameters are **set ex ante** for the entire tariff period, with no possibility of revision. Taking these parameters into account, the WACC for the tariff period is 4.91%.

3.3. REGULATED ASSETS BASE (RAB)

RAB reflects the value of regulated assets used for electricity and gas activities.

Major developments for 2025–2029

- in order to limit the risks of stranded assets, immediate assumption of related indirect costs and accelerated depreciation for new investments in gas networks with a standard lifetime extending beyond 2050.

[2] From the period 2025–2029, all provisions (allocations to provisions and reversals of provisions) are excluded from the maximum allowed revenue, both for its ex ante calculation and for its ex post calculation for the assessment of regulatory balances.

Determining RAB

- The initial value corresponds to the value of regulated tangible fixed assets at 31/12/2024.
- The value changes each year as a result of various factors: additions to investments, depreciation, asset disposals, third-party interventions, subsidies and associated deductions.

Treatment of iRAB revaluation surplus

The methodology adopts the principle that the iRAB revaluation surplus does not constitute a real cost and therefore should no longer generate remuneration. BRUGEL is therefore gradually phasing out this component:

- between 2025 and 2034: elimination of 1/10th of the iRAB revaluation surplus per year;
- from 2029 onwards: same pace for the removal of the envelope of controllable costs relating to the corresponding depreciation;
- to be completely phased out by 2039.

3.4. REMUNERATION OF REGULATORY FUNDS

Each year, Sibelga calculates a remuneration applied to the balances of the regulatory funds (SFR). This remuneration:
- increases the RCI when the balance constitutes an asset for the DSO;
- reduces it when it represents a liability to users.

It is determined as follows:
SFR remuneration = cost of debt × average fund balances.

The cost of debt used is that defined in the methodology (section 6.7.5.4) and is identical to that specified in point 3.2, i.e. 3.822%.

III. Highlights

1. ENTRY INTO THE NEW 2025–2029 TARIFF PERIOD

The year 2025 marks the start of a new tariff period for Sibelga, covering the period 2025–2029. This entry into the new tariff period follows the approval by the regulator BRUGEL of the tariff methodology and tariff structure applicable to electricity and gas respectively for the next five years. The new tariffs, which come into force on 1 January 2025, have been drawn up on the basis of a renewed regulatory framework, incorporating the requirements of financial stability, transparency and support for the energy transition.

The entry into this new tariff period is accompanied by a moderate increase in distribution tariffs, mainly linked to the catch-up of inflation from previous years, the decrease in consumption volumes (particularly for gas) and the integration of additional costs necessary for the modernisation and securing of the network. This new framework will enable Sibelga to pursue its mission as a distribution system operator while strengthening its role as a key player in the energy transition in Brussels.

2. DRAWING UP THE 2026–2030 STRATEGIC PLAN

In 2025, Sibelga defined its 2026–2030 strategic plan to guide its priorities in the context of the energy transition.

The plan comes at a pivotal time, when the Brussels-Capital Region is aiming to reduce its greenhouse gas emissions by 47% by 2030, the first step towards carbon neutrality by 2050. Sibelga fully affirms its role as an essential partner in the energy transition, reconciling environmental challenges, social inclusion and economic viability.

At the heart of this renewed strategy, Sibelga is reaffirming its public service mission: to guarantee reliable access to energy for all Brussels residents and to act where its impact is greatest – as a network operator, market facilitator and partner to the authorities. Three key challenges guide the company’s actions:

- Integrating more local renewable energy, supporting energy sharing and limiting congestion;
- Supporting the development of low-carbon mobility by deploying the necessary infrastructure and anticipating its impact on the network;
- Preparing for the future of heating, by developing an energy mix at district level, combining collective solutions (including district heating networks) and individual solutions.

To meet these challenges, the2026–2030plan is based on three strategic objectives:

- Preparing the networks of tomorrow, by maintaining a high level of quality, investing in future needs and strengthening cyber security in a context of increasing digitalisation;
- Making the market more fluid by developing new services in cooperation with all stakeholders;
- Putting customers at the heart of our priorities, by improving their experience, combating fuel poverty and supporting public authorities.

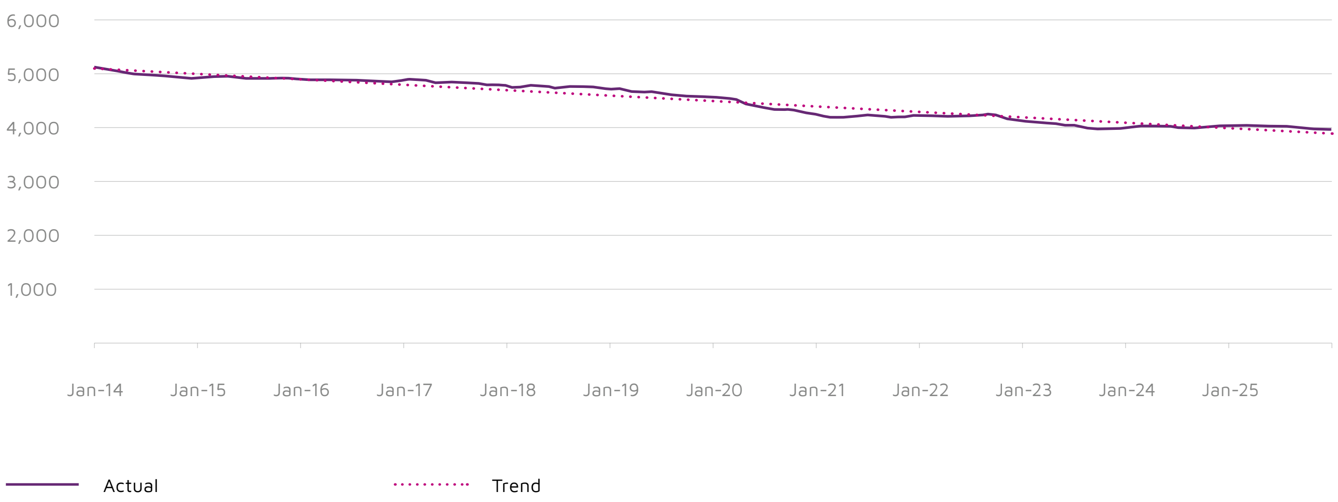
These ambitions are supported by four key enablers: accelerating the deployment of smart meters, making data a strategic resource through a new platform, combining efficiency and sustainability in every decision, and strengthening the attractiveness and skills of teams.

Lastly, this plan emphasises people as the driving force behind the transformation: customers, partners, experts, public authorities... but also Sibelga's 1,200 employees, whose collective commitment is the key to the success of this vision. "Energizing Tomorrow" means working together to make the energy transition a collective, inclusive dynamic that is rooted in the reality of life in Brussels.

3. TRENDS IN ELECTRICITY AND GAS CONSUMPTION

The year 2025 confirms the profound changes observed since the energy crisis, for both electricity and gas. Electricity consumption, which has followed a downward trend for more than a decade despite increasing electrification, particularly illustrates this evolution. After a temporary increase in 2024 – the first since 2010 – volumes started to fall again slightly in 2025, reflecting consumption behaviour that is still marked by sobriety, growing energy efficiency and the rise of self-consumption. It should be noted, however, that the decline in the electricity[3] infeed compared with the previous year was only -0.9%. This structural trend, which is also evident in the case of gas, shows that the habits adopted during the crisis are persisting and are having a lasting impact on the energy landscape in Brussels.

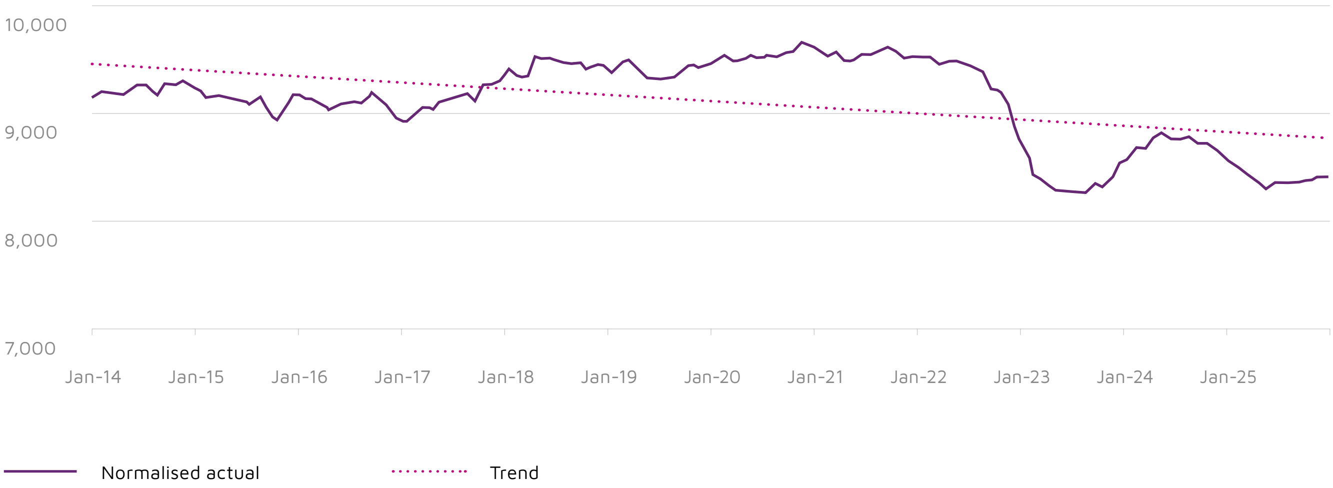
INFEED ELECTRICITY (GWH) 12 ROLLING MONTHS



[3] Infeed refers to energy injected into the distribution network for consumption.

Gas volumes were down by 0.8% compared with 2024. This decrease is however -2.1% after normalisation of these volumes to 2,013[4] degree days[5] in order to neutralise the impact of hot/cold years. This decrease can be explained in part by the closure of the Audi Forest site, which was responsible for a 67 GWh drop compared with the previous year.

INFEED GAS (GWH) 12 ROLLING MONTHS (NORMALISED TO 2013 DEGREE DAYS)



4. DEVELOPMENT PLAN

Sibelga's 2026–2030 Development Plan, drawn up by Sibelga in 2025, is part of a profoundly changing energy landscape in Brussels, marked by the acceleration of the energy transition, the electrification of uses (mobility, heating), the growing integration of renewable energies and changing consumer expectations. This plan, developed in consultation with stakeholders and validated by the Government following the opinion of the regulator BRUGEL, aims to provide a secure, reliable electricity network adapted to future uses, and to maintain the gas network in good condition to ensure the safe distribution of natural gas at least until 2050.

[5] A degree day is a measurement expressing the variation in temperature in relation to a reference temperature. Degree days are calculated by subtracting the reference temperature from the average daily temperature, thus making it possible to estimate the energy consumption required to maintain thermal comfort.
The degree days used by the natural gas sector in Belgium are equal to the difference between 16.5°C and the average temperature measured by the IRM in Uccle, https://www.synergrid.be/fr/centre-de-documentation/statistiques-et-donnees/degres-jours

Strategic priorities and innovations

- **Anticipating the energy transition**: Sibelga foresees a significant increase in electricity volumes to be distributed, in order to support the growth of electric mobility, the decarbonisation of heating and the development of self-production and energy sharing.
- **Use of the digital twin**: the use of a digital twin has made it possible to anticipate the growing need to reinforce the network, which will materialise in particular from 2028 onwards. It has thus made it possible to anticipate and manage congestion linked to changes in loads more accurately, by simulating different scenarios for changes in demand and local production.
- **Increased observability of the low-voltage network**: The plan calls for the installation of 1,720 "smart light" substations[6] by 2029, enhancing the observability and dynamic management of the low-voltage network.
- **New 400V policy**: Gradual transition towards a standard 3N400V network, with a move from an opportunistic 400V policy to a default 400V policy, in order to harmonise voltages and optimise network capacity.
- **Mass deployment of smart meters**: Confirmation of the target of installing 80% smart meters by 2030, to enable more detailed management of consumption and facilitate the integration of new uses.
- **Completion of the fibre optics programme**: Completion of the rollout of fibre optics on the network in 2026, to support the digitisation and real-time monitoring of electricity infrastructures.

Investments and priorities

For the 2026–2030 period, Sibelga plans an ambitious investment programme in the electricity network, with a total amount of more than €600 million allocated to the modernisation, reinforcement and expansion of electrical infrastructure. These investments are structured around several key priorities:

- **Reinforcement and renewal of high and low voltage cables** to anticipate growth in demand and guarantee network reliability.
- **Modernisation and reinforcement of HV/LV substations** to ensure personal safety and support the integration of new uses and decentralised production.
- **Deployment of smart grid solutions and advanced IT tools** for dynamic grid management and optimisation of flexibility.
- **Adapting infrastructures** to integrate electric mobility and local energy production.
- **Secure and reliable power supply** to meet service quality and continuity requirements.
- **Installation of 1,720 "smart light" substations** by 2029, enhancing the observability and dynamic management of the low-voltage network.
- **Mass deployment of smart meters**, with the aim of having 80% of meters installed by 2030.

[6] "Smart light" substation: HV/LV substation equipped with a lightweight monitoring device enabling the transmission of key data (power measurements, protection position, alarms, HV currents) in order to improve the observability of the low-voltage network, without remote control or detailed measurements of LV feeders.

The plan also emphasises the flexibility, resilience and adaptability of the network in the face of rapidly changing uses and technologies. Investments are calibrated to meet the needs identified in the prospective analyses and public consultations, while incorporating regulatory requirements and regional climate objectives.

Over the period 2026–2030, Sibelga will invest just over €40 million in the gas network, with a focus on rigorous resource management and safety. Priorities include renovating stations, reducing the number of new LP connections and meters according to demand, while maintaining the metrological replacement necessary to guarantee the safety of the gas network and the conformity and reliability of measurements.

5. SMART METER DEPLOYMENT PROGRAMME

The smart meter deployment programme continues to scale up to support the Brussels energy transition. After a preparatory phase marked by the development of a roadmap presented to the Government in October 2022, and subsequently adapted at its request in March 2023, operational deployment accelerated significantly from October 2023 onwards.

The objective set by Sibelga is to reach 80% of smart meters installed by the end of 2030. This objective addresses a number of issues:

- improve control of energy consumption;
- offer new opportunities to customers and suppliers thanks to more accurate and frequent data;
- enable the network operator to improve the observability and dynamic management of the electricity network.

To deliver this ambitious programme, Sibelga combines internal resources with the support of specialised contractors, in order to maintain an installation pace aligned with needs.

Deployment trends confirm a significant acceleration in recent years:

- 2023: more than 25,000 smart meters installed;
- 2024: just over 46,000 additional installations;
- 2025: almost 72,000 meters installed, representing a significant increase in the rate of deployment.

Thanks to this sustained momentum, Sibelga is continuing to make progress towards its targets, while preparing the Brussels grid for the energy uses of tomorrow.

6. DEVELOPMENT OF THE "DISTRICT HEATING NETWORKS" ACTIVITY

In 2025, Sibelga continued the structured development of its "district heating network" activity, a key component of the strategy to decarbonise heating in Brussels. The year was notably marked by progress on the project carried out with the City of Brussels and Bruxelles Énergie, aimed at recovering heat produced by the regional waste incinerator for the benefit of housing, public infrastructure and collective facilities located in the north of the capital. This project, currently in the civil works phase for pipe installation, plans commissioning and operation of the network from 2027 onwards.

In organisational and legal terms, 2025 was devoted to structuring the future operating model, including preparations for the creation of an SPV[7] with Centre de tri and Bruxelles Énergie. Work focused on network valuation, statutory aspects, governance in compliance with the rules applicable to intermunicipal entities and the sector's regulatory framework, as well as public procurement implications. The analyses carried out confirm in particular the need for Sibelga to hold the majority of votes within the structure and to chair the decision-making bodies.

At the same time, the company is also involved in the **Be.SHARE** project, an innovative European project led by Brussels Environment, in partnership with the City of Brussels, Vivaqua, the VUB, Karno, Convivence and Sibelga, aimed at creating a heating and cooling network in the Quartier Nord, based on local, low-carbon sources, in particular geothermal energy and riothermal energy (recovery of heat from waste water).

These two projects are part of Sibelga's drive to offer a concrete, sustainable solution to support the regional energy transition and reduce the carbon footprint of heating in Brussels.

7. NEW FINANCING

In order to meet the financing needs arising from the challenges of the energy transition and the reduction in regulatory balances, Sibelga has taken out two new loans with BNP Paribas Fortis and ING at the end of December 2025, each for €15 million. Despite a marked rise in risk-free rates at the end of 2025, Sibelga was able to obtain advantageous conditions, enabling it to obtain rates lower than the cost of regulatory debt. Sibelga has also secured a third loan from Belfius bank, to be drawn down before the end of June 2026. This loan benefits from a reduced rate for financing specific investments in the Electricity Development Plan 2026–2030 related to the energy transition.

By diversifying its borrowings between these three banks, Sibelga has ensured that it can compare and select the most advantageous offers, thereby maximising the efficiency of its financial management.

In addition, Sibelga has initiated discussions with the European Investment Bank during 2025. The aim of these exchanges is to obtain financing on attractive terms for the coming years. The investments set out in the 2026–2030 Electricity Development Plan could therefore benefit from partial support from the European Investment Bank.

7 SPV = Special Purpose Vehicle, i.e. a company specially created for this purpose

8. EVOLUTION OF THE 10-YEAR IRS RATE

For the 2025–2029 tariff period, the determination of Sibelga's regulated cost of debt was based on a specific methodology defined in the tariff methodology, relying on observation of the 10-year IRS rate. More specifically, a weighted average of 10-year IRS rates observed between May 2022 and May 2024 was used as the reference for the risk-free rate applied in the WACC calculation.

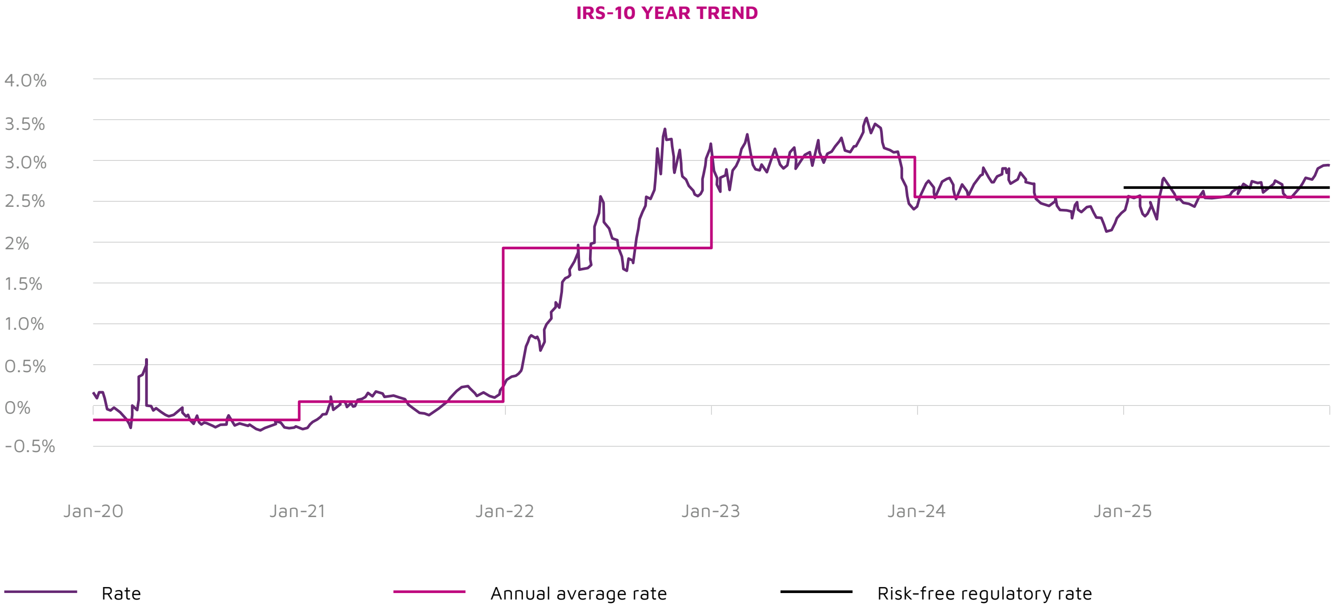
The average calculated was 2.672%. Two additional elements have been added to this base rate:

- A spread of 100 basis points (1%), reflecting the margin that financial institutions may apply when granting loans to Sibelga;
- A transaction cost of 15 basis points (0.15%) to cover the costs of arranging financing.

The cost of regulatory debt for the period 2025–2029 has therefore been set at 3.822%.

The evolution of the risk-free rate no longer has a direct impact on Sibelga's remuneration through the fair margin, as was the case in the previous tariff period where the WACC was recalculated ex post based on the annual average OLO 10-year rate (with minimum and maximum thresholds of 2.2% and 5.2% respectively). In the current tariff period, the WACC has been fixed at 4.910%, including this cost of debt. Financial charges have, however, become controllable costs, in order to incentivise Sibelga to secure financing at the best rates.

The following graph shows the evolution of the 10-year IRS rate since 2020.



It should be noted that, at the end of 2025, the IRS rate exceeded the risk-free rate set by the pricing methodology. This development had a direct impact on Sibelga's financial expenses, particularly when it took out new financing in December 2025. Despite this rise in rates, Sibelga has been able to negotiate advantageous conditions with banks, which has enabled it to keep the effective cost of these new loans below the cost of debt included in the tariff methodology and to have an average debt rate that remains below the regulated rate for the time being. However, in the long term, if this increase were to continue, combined with Sibelga's greater indebtedness and therefore a possible increase in spreads, it is reasonable to expect the gap with the regulated rate to narrow.

9. INFLATION TREND

The year 2025 confirms the trend towards moderating inflation observed after the exceptional peaks of 2022 and 2023. The average consumer price index rose by 2.47% between 2024 and 2025.

The level of inflation has a direct impact on the tariff envelope, which is therefore revised upwards. In fact, the inflation forecast in the tariff proposal for 2025 was set at 2%.

10. EVOLUTION OF ENERGY PRICES

After falling sharply in 2023 and stabilising in 2024, energy prices continued to show relative stability with moderate fluctuations in 2025. The price levels observed remain significantly higher than before the energy crisis, but well below the exceptional peaks reached between the end of 2021 and the end of 2022.

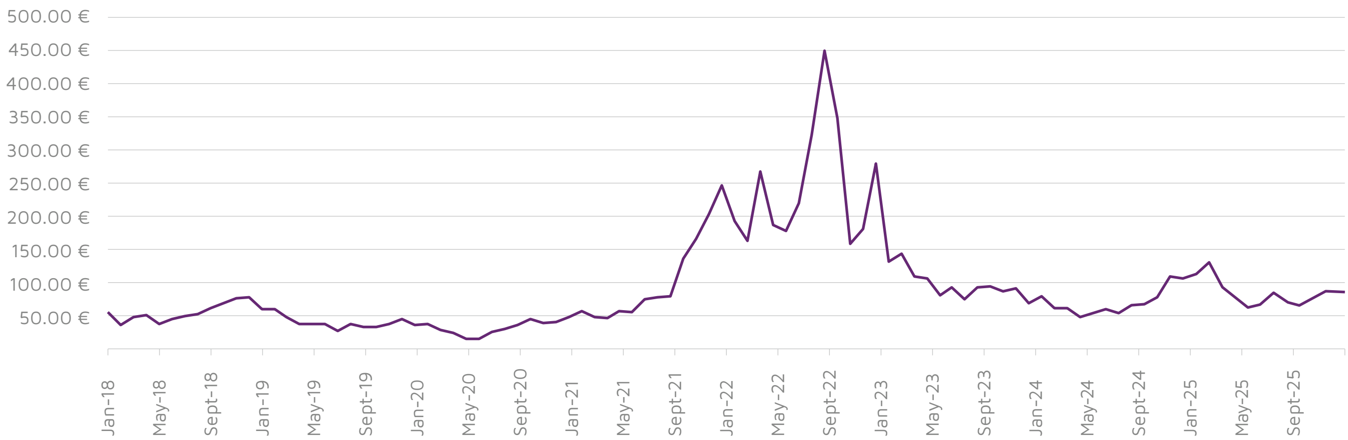
Electricity (Belpex)

Spot electricity prices in 2025 rose slightly at the start of the year, followed by alternating phases of increase and decline over the months. However, this volatility remains contained:

- levels remain well below those seen during the crisis,
- but remain above average levels for 2019–2020.

This trajectory illustrates a market that is still influenced by the structural tensions that have emerged since 2021, but which shows **no signs of a new surge comparable to that of 2022.**

BELPEX SPOT PRICES (MONTHLY AVERAGE)



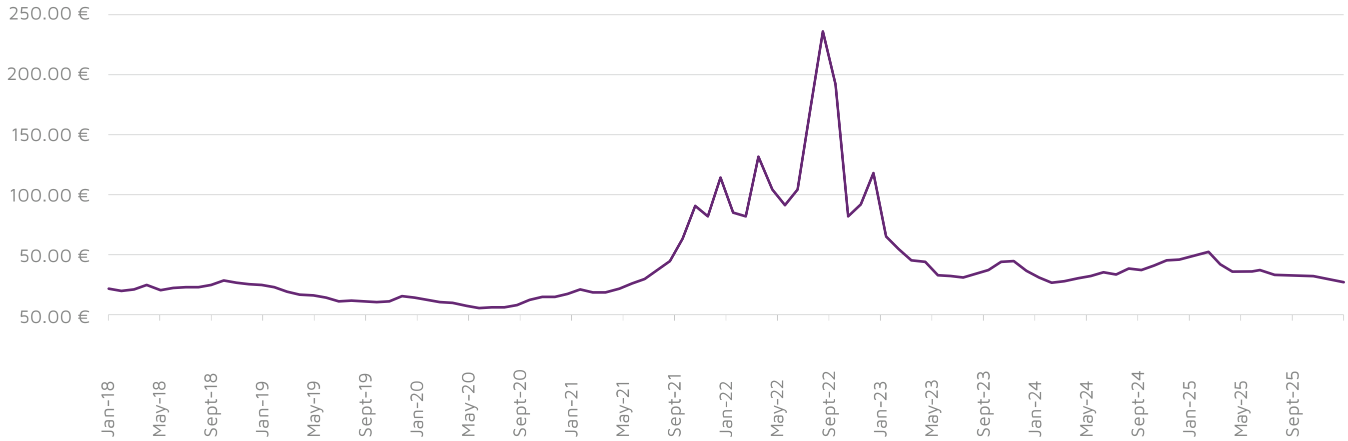
Gas (TTF)

The TTF spot gas price follows a relatively similar pattern:

- a slightly downward trend in 2025,
- far below the peaks of 2022,
- while remaining above pre-crisis levels.

The year 2025 thus confirms the gradual normalisation of the gas market, even if prices have still not returned to their pre-crisis levels.
The graphs below illustrate these trends for the period 2018–2025.

SPOT TTF (MONTHLY AVERAGE)



Sibelga's energy purchase costs for its own needs, for network losses and for energy for protected customers in 2025 have fallen compared with 2024. This reduction is due to the fact that Sibelga purchased at a lower price than in 2024, with the exception of protected customers, and at a lower consumption level. More specifically, the decrease in energy procurement costs in 2025 is the result of several combined effects, mainly:

- Energy purchases for protected customers: we have seen an increase in energy purchase costs, mainly due to the higher purchase price than in 2024. Lower consumption offsets this price increase;
- Electricity purchases for public lighting: a reduction in the average purchase price combined with an 11.5% reduction in the volume consumed for public lighting (resulting from the gradual switch to LEDs for public lighting);
- Compensation for network losses: in 2025, we did not have to shut down our cogeneration unit at Quai des Usines, resulting in a lower need for electricity purchases for network losses (-20.9%). In addition, purchase prices for both electricity for grid losses and gas for cogeneration were lower in 2025 than in 2024;
- Clean consumption: in electricity, the volumes purchased were lower than in 2024 thanks to our cogeneration unit at Quai des Usines, combined with a lower price. For gas, the reduction is due to the lower purchase price, which offsets higher consumption.

11. SAP4 HANA CONVERSION

In 2025, Sibelga successfully completed a major strategic project: the migration of its ERP system from SAP ECC 6.0 to SAP S/4HANA. This initiative meets the objective of modernising the technological infrastructure, while anticipating the end of official support for SAP ECC in 2027 and ensuring the continuity and performance of business processes.

The project was carried out as an iso-functional conversion, guaranteeing that all existing business processes would be maintained, while incorporating the technological advances offered by S/4HANA. This choice made it possible to control operational risks and ensure smooth adoption by users.

The system went live on 12 November 2025, following an intensive preparation, integration testing and business validation phase. Particular attention was paid to Business Acceptance Tests (BAT) to confirm the functional compliance, performance and ergonomics of the new solution in relation to user expectations.

This success positions Sibelga among the first companies in the sector to complete this necessary transition, thereby strengthening the foundations for future developments of its business processes and IT tools..

12. PEPPOL COMPLIANCE

As part of the Belgian obligation to use the Peppol network for electronic billing from 1 January 2026, Sibelga continued to adapt its internal processes in 2025 to ensure a smooth transition in line with the regulations. Although the company had already been able to receive electronic invoices via Peppol for a number of years, the widespread introduction of this obligation required additional development and testing to ensure that all outgoing invoicing processes were fully functional by this deadline.

In order to ensure a smooth transition for all its partners, Sibelga has introduced a double delivery system: each invoice issued in Peppol format is also sent in duplicate by e-mail or post for information purposes. The aim of this measure is to ensure that all the companies and administrations concerned, including those whose IT systems are not yet ready, receive information about their obligations towards Sibelga. This temporary arrangement will ensure the continuity of exchanges and gradually support all stakeholders as they move towards widespread electronic invoicing.

13. ELECTRIC MOBILITY

In 2025, Sibelga continued to implement the regional electric mobility strategy by coordinating the deployment of charging points on public roads. In 2025, 822 new charge points were installed in collaboration with road managers and local authorities, contributing to the gradual strengthening of the public network in Brussels.

This dynamic is part of the concessions successively awarded by Sibelga on behalf of the Region and the Municipalities. After the first two concessions aimed at bringing charging points closer to homes (250 and then 150 metres), the third concession was awarded in 2024 to TotalEnergies for the installation of 1,000 to 2,000 charging points. Its implementation continued in 2025, in parallel with the preparation of a fourth concession covering 800 to 2,400 additional points for2026–2027.

A number of key advances were made during the year, including validation of the locations set out in the deployment plan, obtaining road permits, organising and monitoring the installation work, and developing – in partnership with Paradigm – a solution that will enable parking.brussels to automate parking controls linked to the charging infrastructure. In addition, a rotation fee and the associated agreements were presented to the Conference of Mayors to improve network accessibility.

In continuity with the innovation initiated in 2024, charging points integrated into public lighting poles were also installed in 2025, reducing street clutter and enabling synergies with public lighting infrastructure upgrades.

Lastly, Sibelga drew up and presented the 2026 deployment plan, based on an updated methodology defining future locations on the basis of usage data for existing terminals, in consultation with regional and municipal road managers.

14. LEDS: ACHIEVEMENTS AND OUTLOOK

In 2025, Sibelga continued to press ahead with its programme to accelerate the switch to LEDs, a strategic project aimed at modernising all the street lighting in Brussels by 2030. The results far exceed the initial objectives: 12,470 new LED luminaires were installed as part of construction projects, almost 4,000 more than planned. Inaddition, more than 500 LED luminaires havebeeninstalledas part of minor maintenance and repair work.

As in previous years, each new luminaire is fitted with a Luminaire Controller (LuCo), enabling it to be integrated into the Intelligent Street Lighting (ISL) system. By the end of 2025, 38,522 luminaires had been remotely controlled, a significant increase compared with 2024.

The energy impact of this transition remains particularly positive. Thanks to the accelerated replacement of energy-guzzling equipment and the widespread use of dimming via ISL, electricity consumption linked to public lighting will have fallen by 11% by 2025. This development confirms the effectiveness of the technological choices made in recent years.

The outlook remains unchanged: Sibelga is maintaining its ambition to convert the entire stock by the end of 2030, combining luminaire replacement projects with full renovations where the condition of cables or supports requires it. This transition is also accompanied by efforts to harmonise components, integrated into new contracts launched at the end of 2025, to strengthen technical consistency, energy performance and cost control.

With these advances, Sibelga is confirming its commitment to providing the Brussels Region with high-performance, sustainable street lighting that is intelligently controlled and fully aligned with energy issues.

15. RESHAPE PROGRAMME: LOGISTICAL AND ORGANISATIONAL TRANSFORMATION

In 2025, Sibelga launched the Reshape programme, a logistical and organisational transformation aimed at guaranteeing technical teams smoother, faster and more reliable access to the equipment they need.

Reshape is based on three pillars:

- **People** – Co-creation with teams, taking account of field needs, supporting change and the gradual evolution of skills and practices.
- **Process & tools** – Improved material management, reduced overstocking and stock-outs, better anticipation of requirements, and easier access to logistics information.
- **Buildings** – Rethinking the warehouse and training centre, with the creation of a modern, high-performance centralised warehouse capable of handling future volumes and supporting long-term technical projects.

2025 was dedicated to structuring the project, selecting internal teams and refining the definition of operational needs. It also enabled key decisions regarding IT solutions to support future developments. Finally, the first public procurement contracts have been launched for the transformation of the logistics and training areas. The architects will be selected in early 2026.

16. REMEDIATION OF THE FOREST SITE

Sibelga’s property portfolio includes the Forest site, the former operating headquarters of part of Sibelga’s activities. Soil remediation analyses have been carried out on this site.

An initial exploratory soil survey was carried out in 2004. After twenty years of analyses and procedures, Brussels Environment has agreed not to carry out a major decontamination operation, but rather to implement an alternative project. Rather than opting for a massive excavation of the polluted soil and its transport to a storage site near Antwerp, a phytosanitary solution was chosen. This approach limits soil removal and creates a green area on the site, at a much lower economic and ecological cost.

The permit was granted on 6 August 2024, and the remediation work began in December 2024 and was completed late January 2025. Most of the remediation work carried out in 2024 involved excavating only the top 30 centimetres of soil, treating it and backfilling with healthy soil.

In 2025, the worksite was completed with the planting of 725 shrubs and 170 trees, totalling 16 different species, in agreement with Brussels Environment, in order to ensure the quality of the Senne riverbanks and promote bird nesting. Annual monitoring has also been put in place to ensure that this vegetation becomes perennial.

17. THE EXECUTIVE COMMITTEE FULLY STAFFED AGAIN

At the end of 2024, Sibelga carried out a thorough review of its internal organisation following the departure of two members of the Executive Committee and the sudden death of Catherine Gaudissart, its former Chief Client Officer. This review led to a reorganisation within the company, in particular with the creation of a Strategy Department to support the company's transformation and challenges in the context of the energy transition. The three vacant posts were filled in 2025: Geert Goethals has joined the Group and has been appointed Chief Information Officer, while Thomas Raes has taken on the role of Chief Client & Market Officer and Daphné Benzennou that of Chief Strategy Officer, the latter two being promoted from within the Group. The Management Committee is now complete.

18. RENEWAL OF SIBELGA'S BOARD OF DIRECTORS

In 2025, Sibelga renewed its Board of Directors, in accordance with the governance schedule applicable to Brussels intermunicipal companies, following the municipal elections in October 2024. The new Board has been officially installed and has been the subject of integration actions, including an onboarding session and a site visit organised in September 2025 to enable the directors to familiarise themselves with the company's activities and infrastructure, and two training sessions given by GUBERNA in October and December 2025 on public governance, the role of the various bodies and the directors.

This renewal is in line with the continuity of Sibelga's governance and ensures that the Board of Directors continues to carry out its tasks of strategic supervision and regulatory oversight.

19. NO GOVERNMENT IN BRUSSELS

2025 was marked by the prolonged absence of a fully empowered Brussels government. However, for Sibelga, this institutional situation has had only a fairly limited impact.

As mentioned above, Sibelga's governing bodies were renewed without difficulty in the wake of the municipal elections.

Given its management autonomy, the company has been able to operate normally and carry out all its missions independently of the regional political situation.

In addition, Sibelga's revenue comes almost exclusively from grid fees, which are set in accordance with tariff methodologies approved by Brugel and are independent of the arbitrations of any government in power. This structure guarantees robust financial stability, even in an uncertain institutional environment. Only a very marginal proportion of income depends on regional subsidies.

IV. Risks and uncertainties

1. RISKS ASSOCIATED WITH THE CURRENT REGULATORY FRAMEWORK

1.1. TARIFF METHODOLOGY 2025-2029

Within the scope of its competence, the regulator BRUGEL established the tariff methodology for the 2025–2029 period between 2022 and 2024. This was defined in consultation with the distribution network operator. BRUGEL's objective was threefold:

- to incentivise the distribution system operator to control and improve cost efficiency
- to ensure a reasonable profit for the network operator
- to facilitate investments in the energy transition.

The new tariff methodology, decided by BRUGEL at the end of 2023 and beginning of 2024, introduces a number of important changes, both in terms of opportunities and risks for Sibelga.

Remuneration of invested capital based on a WACC fixed over the entire 2025–2029 tariff period

Sibelga's remuneration is determined, for each year of the 2025–2029 period, by multiplying the RAB (Regulated Asset Base, value of regulated assets) by a WACC (Weighted Average Cost of Capital). The WACC was set for the entire period at 4.91% (nominal net remuneration, after tax). This value was calculated based on the parameters defined in the tariff methodology:

- a normative gearing ratio of 55%
- a cost of debt of 3.82% (reflecting an average between the historical cost of debt and an estimate of the cost of debt still to be raised during the period 2025–2029)
- a cost of equity of 6.24%, calculated on the basis of the Capital Asset Pricing Model (CAPM) taking into account Sibelga's specific risk profile.

Compared with the previous tariff period, there have been two major changes:

1. a fixed rate of remuneration for the entire tariff period (whereas previously remuneration fluctuated according to the risk-free rate), which limits the uncertainty linked to fluctuations in the financial markets. This mechanism strengthens the predictability of remuneration and, consequently, Sibelga's financial stability.

2. The cost of debt is now included in the remuneration formula, whereas it was previously covered by the "embedded cost" mechanism (debt covered by tariff revenue at actual cost). This means that Sibelga incurs more risk in the event of an unexpected rise in risk-free rates on the markets, but also an opportunity to take advantage of favourable conditions to achieve a small gain.

Incentive-based regulation on costs

The tariff methodology distinguishes between controllable and non-controllable costs. For non-controllable costs, actual costs can be passed through to tariffs, as the regulator considers that the network operator has limited ability to influence them (for example, costs related to covering electricity network losses). For controllable costs, allowed costs are determined in advance and Sibelga is responsible for complying with this tariff budget (differences between the tariff budget and actual costs constitute an incentive to remain as efficient as possible).

Incentive-based regulation on costs therefore represents both an opportunity and a risk for Sibelga: savings achieved generate bonuses, without a specific cap, allowing Sibelga to fully benefit from efficiency gains. However, this regulation also entails a risk: if controllable costs exceed the planned budget, a penalty will be applied.

Compared with the previous tariff period, there have been three major changes:

1. depreciation costs will be considered controllable costs from 2025 onwards (the regulatory approach is therefore referred to as a TOTEX approach, as the incentive scope now covers not only operating costs (OPEX) but also depreciation of invested assets).
2. BRUGEL provides funding for the energy transition. The calculation of the "controllable costs" envelope will be based, for the 2025–2029 period, on the sum of:

   – so-called "Business As Usual" costs calculated from previous years' costs, indexed and reduced each year by an efficiency factor,
   – increased by "additional costs" for the additional missions that Sibelga will have to carry out during the tariff period, in particular for the energy transition.

3. the difference between actual controllable costs and the tariff budget will now be fully borne by the network operator, whereas previously a 50%/50% sharing mechanism applied (50% for the DSO and 50% returned to users via tariffs), as well as a cap (upward or downward) in the event of a deviation exceeding 10%.

This incentive structure encourages optimum management of resources. It should also be noted that, as in the past, the regulator considers inflation to be a non-controllable factor for Sibelga, and therefore the impact of inflation on controllable costs remains treated as non-controllable, with thresholds adjusted annually to reflect this.

Incentive-based regulation on objectives (KPI)

The Key Performance Indicators (KPIs) have been adapted to meet the new challenges facing the energy sector, in particular the roll-out of smart meters and the smart grid. These KPIs are integrated into an incentive mechanism which, in the case of strong performance by Sibelga, may generate a bonus on its results, and in the case of under-performance, may generate a penalty.

Through this mechanism, BRUGEL aims to promote continuous improvement of services while incentivising Sibelga to deploy smart meters and implement smart grid solutions.

Tariff balances

The difference between controllable costs determined ex-ante and realised controllable costs is now entirely borne or retained by the DSO. However, other differences are recorded as "tariff balances". These include

- differences in non-controllable costs
- differences in the fair margin (resulting from differences in the level of the RAB)
- differences in revenues resulting from differences between projected and actual volumes

The 2025–2029 tariff methodology introduces the following new rules regarding the management of these tariff balances:

- Return over two tariff periods of past balances (balances prior to 2024, year of introduction of the tariff proposal).
- return, in principle automatic, in N+2, of balances generated each year N of the tariff period; these balances must also be separate for gas and electricity, and broken down between
  - differences arising from revenues and costs related to network usage tariffs
  - differences arising from revenues and costs related to PSO tariffs
  - differences arising from revenues and costs related to electricity transmission tariffs

Pricing structure

With regard to tariff structure, it will remain largely unchanged for gas throughout the regulatory period (2025–2029) and for electricity during the first three years (2025–2027). A new tariff structure is planned from 1 January 2028 for low-voltage electricity customers. The objective of this evolution is to better align Sibelga's tariff structure with its actual costs and to encourage more efficient consumption. This gradual transition allows Sibelga to adapt to market developments while maintaining a degree of tariff stability.

In conclusion, the 2025–2029 tariff methodology offers Sibelga numerous opportunities to strengthen its financial stability, operational efficiency and role in the energy transition. However, this regulatory framework also introduces risks, particularly regarding cost management and adaptation to new tariff structures, requiring continuous monitoring to maximise benefits while managing uncertainties.

1.2. TARIFF PROPOSAL 2025–2029

Following the adoption of the 2025–2029 tariff methodology by BRUGEL, and in accordance with the procedure defined in this methodology, Sibelga submitted its 2025–2029 tariff proposal to BRUGEL.

This proposal establishes, based on the rules defined in the methodology, a tariff proposal derived from projections of authorised costs and gas and electricity consumption volumes.

After an initial version introduced in May 2024, which was rejected by BRUGEL following numerous exchanges and questions, Sibelga introduced an amended version in October 2024. BRUGEL has approved this latest tariff proposal for 2025–2029.

With this approval,

- Sibelga has visibility on its authorised cost envelope for the next five years (including remuneration, authorised OPEX and CAPEX, etc.)
- Brussels gas and electricity consumers have visibility on tariff developments for the coming years (although, as mentioned above, the structure of low-voltage electricity distribution tariffs is expected to evolve by 2028).

It should be noted that 2025 distribution tariffs increased compared to 2024 (the increase is approximately 11.7% for residential customers and 14.6% for non-residential customers). This increase is mainly explained by:

- the catch-up of inflation over 2020–2024
- the decrease in consumption volumes
- To a lesser extent, additional costs to prepare the network for the energy transition.

2. TECHNICAL AND OPERATIONAL RISKS

In 2024, a fundamental review of the corporate risk universe was carried out by the Risk Management team, leading to the identification of 13 major risks requiring particular attention.

In 2025, a major risk update exercise was carried out to identify past incidents likely to recur, as well as future incidents that could jeopardise the achievement of the strategic and operational objectives of the various departments and even the company itself. This update enabled us (1) to review the corporate risk universe and (2) to update the assessment of identified risks.

Two new risks were identified and two existing risks were merged, bringing to 13 the number of corporate risks assessed and subject to specific monitoring.

2.1. SIBELGA’S RISK MANAGEMENT FRAMEWORK

Risk management is organised into seven areas: (1) Customer risks (2) Legal, regulatory, compliance and governance risks (3) Human resources and organisational risks (4) Internal operational risks (5) External operational risks (6) Technological risks (7) Financial risks.

Monitoring risk evolution is a key element of sound business management. This activity is carried out within internal governance bodies designated by the Executive Committee or the Management Committee.

In addition to monitoring and reassessing risks, the identification of existing and ongoing mitigation measures is formalised in order to reduce the impact of risks to an acceptable level for the company. Responsibility for implementing mitigation actions is assigned to operational teams.

Sibelga's risk management system is also based on the concept of risk managers, selected from among the members of the Executive Committee. These individuals are designated for each major risk to ensure effective and accountable risk management. Having risk managers ensures:

- Clear accountability: assigning a risk owner for each risk clarifies responsibilities for managing and monitoring risks. This avoids confusion and ensures that each risk is dealt with appropriately.
- Specialised expertise: Some risks require specific knowledge and skills. A dedicated Risk Manager provides expertise and experience to assess and mitigate risk more effectively.
- Monitoring and reporting: The Risk Manager is responsible for monitoring risk trends and reporting regularly to the Executive Committee. This enables continuous monitoring and informed decision-making.
- Allocation of resources: Having a Risk Manager for each risk makes it easier to determine and allocate the resources needed to manage the risk, thus ensuring optimum use of the company's resources.
- Responsiveness: In the event of an incident or a change in the risk profile, the Risk Owner is able to react quickly and take the necessary actions to mitigate the impact on the company.

2.2. CUSTOMER-RELATED RISKS

ABILITY TO TRANSFORM

Transformation capacity risk is the risk that the organisation may not be able to absorb, steer and coordinate all the work required for its transformation. It is a cross-functional, strategic risk underpinning the delivery of the roadmaps of all directorates, and is an essential enabler of the energy transition. In this respect, Sibelga has launched several structuring initiatives to support transformation, both in order to translate its positioning and ambitions into concrete objectives and to organise, direct and monitor transformation at all levels of the company. This involves updating our organisational structure for project, programme and portfolio management, as well as redefining our corporate architecture, governance bodies and corporate culture.

2.3. LEGAL, REGULATORY, COMPLIANCE AND GOVERNANCE RISKS

EXTERNAL STAKEHOLDER MANAGEMENT

It is vital that Sibelga continues to maintain fruitful interactions with its stakeholders, whether they be shareholders, the regulator, energy suppliers, government departments or political authorities. Indeed, given the nature of its missions and its three roles (network operator, market facilitator, partner of the authorities), the quality of these interactions is a necessary condition for their proper execution, in the interest of all, and particularly of Brussels residents. This is why Sibelga works to maintain ongoing institutional relations and to demonstrate the technical and societal value of its missions. Assessing stakeholders' expectations, identifying the most appropriate forms of collaboration and defining the actions to be implemented in order to strike the right balance between the respective concerns, constraints and interests is at the heart of Sibelga's strategy for managing external stakeholders.

2.4. HUMAN RESOURCES AND ORGANISATIONAL RISKS

ATTRACTING, ENGAGING AND DEVELOPING TALENT

This concerns, on the one hand, the company's ability to recruit the human resources necessary to maintain and develop the operations and services provided; and, on the other hand, the company's ability to maintain current engagement, train and develop its personnel (employed, as a reminder, within its subsidiary BNO).

This is a crucial organisational issue for Sibelga, and essential to the fulfilment of its missions. In order to manage the combined effect of the shortage of technical professions, cultural challenges and the sectoral social context, Sibelga has identified, through an HR roadmap, all the actions to be implemented in order to achieve greater control over this issue.

PHYSICAL SAFETY OF PEOPLE

The physical safety of staff members and external stakeholders is a priority for Sibelga. It is at the heart of the company's activities and is the subject of constant vigilance, with robust mitigation measures built into the processes. The system in place, which is structured around the Annual Prevention Plan, enables us to continuously monitor risk trends, detect early signs of potential deterioration and guarantee a sustainable level of mitigation.

2.5. INTERNAL OPERATIONAL RISKS

CONGESTION

Network congestion risk arises in a context of increasing energy uncertainty. Indeed, changes in consumption trajectories and power demand remain difficult to predict. After several years of an overall decrease in consumption, a trend reversal could occur more quickly than anticipated.

Although interconnections with the Elia network represent critical points, it is essential that Sibelga maintains rigorous management of this risk, due to the increase in connection requests, the construction of new infrastructure and growing power needs.

In this context, Sibelga is equipping itself with reliable tools capable of carrying out in-depth sensitivity analyses, in order to detect switchover signals and adjust network sizing accordingly. In addition, Sibelga is taking all the necessary measures to be able to carry out its construction work, in a complex context linked to the need to carry out and coordinate roadworks for several contractors.

Although the Brussels region has been spared for the time being, the congestion already observed in Flanders and Wallonia underlines the importance of maintaining constant vigilance over the development of this risk.

COMPLEX SUPPLY PROCUREMENT

The risk of procurement difficulties or even stock shortages of critical components and certain essential technical materials (such as smart meters, electrical cables or transformers, for example) remains a major point of attention. Vulnerabilities remain in the supply chain in an unstable geopolitical context and with dependencies on a limited number of suppliers for certain items. Aware of this risk, Sibelga has launched a comprehensive review of the purchasing strategies to be implemented in order to limit it as much as possible, in particular by standardising and rationalising the technical range and strengthening internal storage processes.

DATA MANAGEMENT

Data management is crucial to guaranteeing data quality, consistency and availability. This will ensure that operations run smoothly and facilitate management decision-making at both operational and strategic levels. In 2025, the company laid the foundations for a structured and cross-functional organisation to address this topic. In particular, Sibelga strengthened its dedicated team and refined its Data roadmap by addressing process, governance and tool aspects.

IMPLEMENTATION OF CMS 2.0

This is the implementation of CMS 2.0, which is intended to replace the previous version of the federal platform for sharing data with market players. The work is being coordinated by Atrias, a joint initiative of Belgium’s four largest distribution system operators: Fluvius, ORES, Sibelga and RESA. Atrias provides market facilitation data on behalf of and in close collaboration with the distribution system operators, using an IT infrastructure that needs to be upgraded to compensate for the obsolescence of the existing version.

In this context, and because of its involvement in Atrias, Sibelga is making every effort to contribute to the success of this extremely important project in the energy sector.

2.6. EXTERNAL OPERATIONAL RISKS

ABILITY TO CARRY OUT CONSTRUCTION WORK

The risk related to carrying out construction work depends on the organisation’s ability to successfully complete sites, taking into account imposed or existing urban planning constraints, as well as the growing need to coordinate with other utility operators who also need access to public roads in order to implement their own investment plans.

To manage these challenges effectively, Sibelga uses the OSIRIS platform, which facilitates the coordination and planning of roadworks. In addition, Sibelga is constantly optimising its internal processes to ensure that construction projects are managed smoothly and efficiently.

RISK OF DEPENDENCE ON A MAJOR ENERGY SUPPLIER

Sibelga implements a rigorous policy for monitoring its trade receivables and systematically assesses the financial capacity of its counterparties, thereby limiting the risk of payment default. The system in place makes it possible to anticipate signs of fragility and incorporate mitigation measures into internal processes, ensuring constant monitoring of risk trends. However, in the Brussels energy context, only one supplier makes a significant contribution to the Grid Fee collected by Sibelga. Consequently, a failure on the part of this supplier could not only have a considerable impact on Sibelga's financial income, but could also have repercussions beyond the region's borders. This would be a sign of a more general dysfunction of the energy market.

DAMAGE TO PHYSICAL INSTALLATIONS BY THIRD PARTIES

Because of the nature of its activities and the physical topology of its network, Sibelga is exposed to the risk of damage to its physical installations (supply substations, underground networks, critical infrastructure). Damage may be caused by the actions of third parties, whether malicious or unintentional. The current geopolitical context could increase exposure to the risk of malicious damage.

This risk is closely monitored, as it poses a threat to service continuity and the safety of our teams and the public. To remedy this, Sibelga is finalising the implementation of its security programme for supply substations, and is continuously monitoring its network and installations to ensure a rapid response.

It should be noted that the law on the resilience of critical entities, which came into force on 18 December 2025, provides the basis for Sibelga to begin the compliance process, taking into account all the provisions and analyses carried out to date.

2.7. TECHNOLOGICAL RISKS

INFORMATION SYSTEMS SECURITY RISKS

In a context marked by increasing digitalisation of operational activities, growing sophistication of cyberattacks and a geopolitical environment that increases the exposure of the energy infrastructure, Sibelga is facing greater risks related to the security of its information systems, in both IT and OT environments.

At the same time, the evolving legislative framework, in particular the transposition of the European NIS2 Directive, under which Sibelga has been identified as an Essential Entity since October 2024, imposes stricter requirements in terms of cybersecurity and operational resilience.

These risks include:

- The continuity of IT solutions, any malfunction of which can lead to unavailability, disrupt daily activities or generate operational errors;
- The security of information systems and the protection of data, faced with an increase in the attack surface linked to the rapid technological evolution of tools and infrastructures.

To reduce exposure to these risks and strengthen its resilience, Sibelga is focusing on an integrated cyber risk management system based on the four structuring pillars of security: identification, detection, protection and recovery.

- Identification involves recognising potential risks, analysing vulnerabilities and understanding their impact on critical assets.
- Detection is based on putting in place mechanisms to identify incidents in real time, including continuous monitoring and rapid response capabilities.
- Protection aims to deploy preventive and proportionate security measures to secure all information assets.
- Recovery is based on proven crisis management and continuity plans to minimise the impact of incidents and rapidly restore operations.

With this in mind, Sibelga:

- confirms and consolidates its ISO 27001 certification programme, with a target completion date of 2027;
- deploys a continuous improvement approach to its security activities to maintain a level of protection that is adapted to changes in threats;
- invests in the skills of the security team, led by the Chief Information Security Officer (CISO);
- is stepping up its awareness-raising programmes for all employees to develop a shared safety culture;
- and has maintained “cyber risks” insurance since 2018, enabling a residual part of the risk to be transferred.

2.8. FINANCIAL RISKS

BUDGET OVERRUNS AND INEFFICIENCY

This is the risk that Sibelga will not be able to control a budget overrun and achieve the level of efficiency needed to contain its costs in the long term, thereby exposing the organisation to major or unexpected cost overruns.

The internal mechanisms in place enable structured, long-term mitigation of this risk. These mechanisms are supported by a drive to improve efficiency across all departments, which will further strengthen the robustness of budgetary control.

3. OTHER FINANCIAL RISKS

3.1. INTEREST RATE RISK

As Sibelga operates in a regulated sector, its exposure to interest rate fluctuations depends on the regulatory framework applicable for the current period.

Under the regulatory framework applicable for the period 2025–2029, Sibelga is exposed to this risk. The cost of debt has been fixed for the entire period, as mentioned in point IV./1.1 Tariff Methodology 2025–2029. However, this is also an opportunity for Sibelga, since a fall in interest rates could enable Sibelga to improve its results.

Sibelga manages this risk by raising financing in tranches spread over long periods. Consequently, a sudden variation in interest rates will only affect a fraction of Sibelga's overall indebtedness.

Sibelga does not use hedging derivatives such as swaps or caps. Interest rate positions are reviewed periodically and whenever new financing is raised.

As regards any excess liquidity, Sibelga was not confronted in 2025 with the issue of negative interest rates. Sibelga's financial policy therefore consisted in maximising these surpluses within cash pooling at group level and actively managing term investments of excess cash.

3.2. LIQUIDITY AND CREDIT RISK

Liquidity and credit risk arises from Sibelga's need to obtain the external financing required, among other things, to carry out its development programme and refinance existing debt. Sibelga's liquidity is also based on the maintenance of liquid assets and confirmed credit facilities.

The sensitive situation on the European credit or capital market could, if it deteriorated, harm Sibelga's activities, financial situation and results.

Sibelga's diversified and tailored financing policy aims to limit this liquidity and credit risk. The USPP bond issue with US investors in 2023 to finance the redemption of the 2013 bond issue is fully in line with this policy. The same applies to the bank loans arranged in 2021, 2024 and 2025 with the four major Belgian banks.

Financing needs were necessary in 2025 and are still expected in the years to come. These are mainly linked to the following points:

- Part of Sibelga's financing is ensured by regulatory balances and the regulator requested their reduction in the 2025–2029 tariff proposal.
- What's more, overall capital expenditure exceeds depreciation.

In order to guarantee future financing, diversify the sources of financing and obtain the best conditions, Sibelga has also initiated discussions with the European Investment Bank during 2025 and hopes to obtain EIB financing in 2026 or early 2027.

As part of the range of financing tools available to mitigate liquidity and credit risks, Sibelga also has a €200 million MTN (Medium Term Notes) programme.

3.3. PENSION RISK

Prior to 1993, the pension scheme for employees (or their beneficiaries) attributed to Sibelga consisted of annuities. Annual payments under these pensions are gradually decreasing as the number of people receiving them falls. In 2025, the amounts actually disbursed in respect of unfunded pension costs amounted to €3,916,934.79.

The annuities paid are charged to operating costs at the time they are paid and are invoiced by the BNO subsidiary to Sibelga. These pension costs (like other staff-related costs) are passed on by Sibelga through distribution tariffs.

It should be noted that, in accordance with Belgian accounting standards, the actuarial value of these commitments for future payments is not recognised as a financial liability. This actuarial value of future annuity payments is estimated, taking into account certain assumptions, including discount rate and residual life expectancy, at an amount of €22,430,287.71. This estimate may vary depending on the assumptions used.

It should be noted that costs related to non-capitalised pensions are covered by a tariff surcharge approved by the regulator in accordance with the "electricity" and "gas" ordinances and methodologies.

In addition, the residual financial risk in the event of a change in the legal or regulatory framework is covered,

- on the one hand, by the Synatom credit line, which took over Electrabel's commitments after Electrabel's withdrawal from Sibelga's capital at the end of 2012,
- and, on the other hand, by Interfin, for its share, which has recorded in its accounts a non-distributable reserve specifically dedicated to this purpose. This reserve is adjusted each year by the Interfin General Meeting according to changes in this risk.

3.4. TAX RISK

The impact of the tax reforms on Sibelga is limited, as the taxes charged to it are passed on in the tariffs in accordance with the Ordinance of 8 May 2014.

3.5. SIBELGA'S ADDITIONAL DEBT

Sibelga's debt ratio is still relatively low, although it will increase further in 2025. As mentioned above, the debt burden is set to increase in the future as a result of two factors: a reduction in the regulatory funds and a sustained investment plan in the network to ensure the energy transition.

3.6. MACROECONOMIC AND CYCLICAL RISKS

The economic turbulence of recent years has shown us that cyclical events can have repercussions on demand for gas and electricity. However, a reduction in volumes compared with those forecast in the tariff proposal, due to macroeconomic or cyclical factors, is a risk that is not borne by Sibelga, since under the current regulatory regime, the loss of revenue resulting from reductions in volumes can be taken back when the annual balances are approved and passed on in the following year's tariffs.

V. Analysis of the 2025 result according to the regulatory approach

1. SUMMARY OF SIBELGA'S RESULTS AND CHANGES IN TARIFF BALANCES

The **result for the year** was €55,004,211.38 from Sibelga's network management activities:

- **Regulated**: + €66,786,550.02. This is Sibelga's core business. Its main component is the remuneration of its assets through fair remuneration
- **Non-regulated**: – €753,906.29.

Regulated result	Electricity	Gas	Total
Fair remuneration 2025	43,863,107.90	16,936,754.49	60,799,862.39
Cost of debt	-9,337,494.76	-1,690,937.59	-11,028,432.35
Incentive-based regulation on controllable costs	7,382,475.86	-1,646,008.95	5,736,466.91
Incentive-based regulation on KPI 2024	258,430.00	139,367.00	397,797.00
Rejection of 2024 costs by BRUGEL	-128,583.81	-18,992.47	-147,576.28
Total "regulated"	42,037,935.19	13,720,182.48	55,758,117.67
Non-Regulated Result			
Historical residuals of supply activity	10,180.48	1,006.29	11,186.77
Mobiclick (Elec) / Heatnet (Gas)	-225,576.59	993.6	-224,582.99
Heating networks	-400,231.40	0.00	-400,231.40
Convector hire	0.00	-35,598.67	-35,598.67
Non-regulated provision	-11,700.00	-6,300.00	-18,000.00
Administrative penalty following injunction by BRUGEL	-86,680.00	0.00	-86,680.00
Total "non-regulated"	-714,007.51	-39,898.78	-753,906.29
Total result[8]	**41,323,927.68**	**13,680,283.70**	**55,004,211.38**

[8] The total result represents a return on average equity of 6.39%

In 2025, balances excluding transport rose by €6,533,327.32, including €2,613,245.94 in electricity and €3,920,081.38 in gas. As a reminder, these balances are used to adjust the accounting result so that it corresponds to the authorised regulated result.

	Tariff balance	Electricity	Gas	Total
(1)	**Tariff balance at the end of 2024**	**30,961,391.85**	**79,388,429.65**	**110,349,821.50**
A. Tariff proposal clearance	Network usage (clearance)	-15,697,316.20	-12,472,470.15	-28,169,786.35
	PSO (clearance)		-2,244,870.43	-2,244,870.43
	Total - Tariff proposal balance clearance	**-15,697,316.20**	**-14,717,340.58**	**-30,414,656.78**
B. Provision	**Reversal of provisions**	**14,283,574.81**	**6,189,119.48**	**20,472,694.29**
C. Movements in 2025	Network use	6,743,159.18	11,390,819.03	18,133,978.21
	Brugel 2024 decision (KPI incentives and rejections)	-129,846.19	-120,374.53	-250,220.72
	PSO (year)	-2,586,325.66	1,177,857.98	-1,408,467.68
	Total - Movements 2025	**4,026,987.33**	**12,448,302.48**	**16,475,289.81**
(2)	**Distribution - Total(A) + (B) + (C)**	**2,613,245.94**	**3,920,081.38**	**6,533,327.32**
(3)	**Transport**	**-1,152,470.00**		**-1,152,470.00**
(1) + (2) + (3)	**Tariff balance at the end of 2025**	**32,422,167.79**	**83,308,511.03**	**115,730,678.82**

2. COMMENTS AND TRENDS IN 2025

2.1. COMMENTS ON SIBELGA'S RESULTS

With regard to the **regulated result**, the main component is the fair remuneration, which amounts to €43,863,107.90 in electricity and €16,936,754.49 in gas. The fair remuneration is determined by the formula set out in the tariff methodology approved by BRUGEL. It is derived from the following formula: RAB (Regulatory Asset Base) at the WACC (Weighted Average Cost of Capital) rate, which is set in the methodology at 4.91% for the entire tariff period. The financing of tariff balances must also be added to the fair remuneration calculated on the basis of the RAB and the WACC. As these balances are positive, and therefore considered as a liability towards the customer, this cost must be deducted in order to obtain the final fair remuneration.

WACC also includes the cost of debt, which this year amounted to – €11,028,432.35. This remuneration is therefore designed to cover this cost.

Incentive-based regulation also allows Sibelga to generate additional income when controllable costs are below the tariff budget and when service quality objectives are achieved. The margin on controllable costs is positive in electricity, amounting to +€7,382,475.86, while it is negative in gas, at -€1,646,008.95.

Unlike the previous tariff methodology, incentive-based regulation on controllable costs grants Sibelga 100% of the difference between actual controllable costs and the budget/tariff benchmark.

Incentive-based regulation on service quality (KPI) for year N is only recognised in year N+1, following the regulator's ex post review. As a result, the result relating to 2025 is not recognised by Sibelga in the 2025 result. However, the result linked to the KPIs for financial year 2024, validated by BRUGEL this year, has been recognised and recorded in the 2025 result. This 2024 result amounts to €258,430.0 in electricity and €139,367.0 in gas, thereby increasing the 2025 result.

Here are the details by KPI:

KPI 2024 (Euro)	**Electricity**	**Gas**	**Total**
Quality of network management	212,719.00	117,964.00	330,683.00
Quality of metering data management	33,114.00	15,504.00	48,618.00
Quality of services delivered to the market	125,966.00	58,979.00	184,945.00
Quality of complaint handling and compensation requests	-113,369.00	-53,080.00	-166,449.00
Total	**258,430.00**	**139,367.00**	**397,797.00**

Following decisions 332 (electricity) and 332 (gas) by BRUGEL relating to the 2024 tariff balances, issued on 7 October 2025, several costs were rejected, in particular fines amounting to €69,173.83 and compensation related to energy outages amounting to €78,402.45. According to BRUGEL, these amounts cannot be covered by tariffs. Total rejected costs amount to €147,576.28 for both energy types combined. They must therefore be deducted from Sibelga's result.

In the **non-regulated section**, here are some explanations of the main headings:

- The "Mobiclick" project is not strictly speaking a non-regulated activity, as it is a public service obligation borne by the intermunicipal company. However, the costs related to this activity are not included in the tariff scope: from a tariff perspective, it is therefore considered "non-regulated".
- In line with its strategy, Sibelga is developing the "**district heating networks" activity**. At this stage, this mainly involves costs related to the development of this new activity, in particular for two projects located in Neder-Over-Heembeek and in the Brussels North district. This activity represented a cost of €400,231.40 in 2025.
- **Non-regulated provision**: this is in fact a provision recognised in BNO in the context of a dispute with a former employee. As the regulator no longer allows provisions to be included in tariff revenues, the impact on Sibelga's result, although compliant with accounting rules, had to be recorded as non-regulated.
- **Administrative penalty following a Brugel injunction**: This is an administrative fine[9] imposed by BRUGEL in connection with the delay in SMARKET.

9 Linked to Article 32 of the Electricity Ordinance of 19 July 2001

2.2. COMMENTS ON TARIFF BALANCES

Three factors have had a major impact on balances in 2025:

- **Return of historical balances provided for in the tariff proposal**
  The tariff proposal provided for the return of historical balances of €15.7m for electricity and €14.7m for gas in 2025.
  In practice, this refund was largely offset by the creation of new balances, as described in the following sections.

- **Reversal of provisions**
  Under the new methodology, Sibelga can no longer record provisions for non-controllable costs. The provisions previously set aside had to be incorporated into the tariff balances. They increased electricity balances by €14.2m and gas balances by €6.2m, for a total of €20.5m.

- **Movements during the year**
  Movements over the year show an increase in both electricity and gas balances. This increase is mainly due to the reconciliation for the years 2021 (definitive), 2022 and 2023 (provisional).

Transmission balance:

The 2025–2029 tariff methodology also introduces a new feature regarding tariff balances. From 2025 onwards, Sibelga must, from a regulatory perspective, create a specific balance for electricity transmission. In practice, the differences between revenues and costs related to transmission (respectively: invoices from Elia and revenues from invoicing transmission to electricity consumers) must now be recorded in a dedicated balance. This balance amounted to -€0.3m (receivable from the customer) at the beginning of the year and decreased by -€1.2m to reach -€1.5m at the end of 2025. It should be noted that this balance is purely tariff-related and balance-sheet based and has no impact on the result.

Furthermore, the analysis of non-controllable balances for financial year 2025 (i.e. "movements 2025") highlights the following significant elements:

To the detriment of "Network Usage" balances:

- The re-indexation of the tariff budget for controllable costs, as provided for in the tariff methodology. Indeed, actual indexation evolved faster than the forecast indexation included in the tariff budgets, and the difference is therefore deducted from tariff balances;
- Compensation for electricity losses was more costly than expected;
- Higher long-service awards than initially anticipated;
- Higher tax charge than forecast;
- Higher remuneration of capital due to a higher RAB;
- Lower tariff balances than expected, resulting in lower remuneration of regulatory funds.

In favour of "Network Usage" balances:

- The recalculation of the maximum allowed revenue for depreciation and asset disposals (based on 2024 actuals and on actual 2025/2024 indexation, as well as taking into account disposal proceeds in this calculation) led to a decrease in the tariff envelope.
- The reconciliation between suppliers, for a total amount of €18.9m in favour of Sibelga, contributed to the ariff balances.

Regarding PSO balances:

- For electricity PSOs, costs recorded in 2025 were €1m higher than the budget provided for in the tariff proposal. Revenues were €1.6m below the initial budget. These two effects reduced electricity tariff balances by €2.6m.
- For gas PSOs, the opposite situation is observed: costs were approximately €1m lower than the initial budget, while revenues were €0.2m higher.

These two effects combined lead to an increase in tariff balances of €1.2m in 2025.

VI. Continuation of the annual report referred to in Articles 3:5 and 3:6 of the Companies and Associations Code

1. COMMENTS ON THE ANNUAL ACCOUNTS TO PRESENT A TRUE AND FAIR VIEW OF THE DEVELOPMENT OF THE BUSINESS AND THE COMPANY'S POSITION

1.1. BALANCE SHEET ACCOUNTS

The balance sheet total was €1,515,105,469.87 compared with €1,511,461,285.06 the previous year, an increase of €3,644,184.81.

The following brief comments relate to the most significant items and movements.

Assets

Formation expenses: €422,927.21 (- €57,343,40)

The formation expenses recorded as assets correspond to bank charges for the issue of loans relating to the new loan in 2023 for a total amount of €573,434.00 less depreciation for the year and the previous year in the amount of €150,506.79.

Non-current assets: €1,378,088,785.04 (+ €42,593,397.36)

- **Intangible fixed assets: €4,327,299.54 (- €671,239.48)**

Intangible fixed assets consist of green certificates unsold as at 31 December 2025.

These were valued using the FIFO method on the basis of the sales prices fixed contractually with Electrabel nv, which had undertaken, after a competitive tendering process, to purchase 105,000 green certificates from Sibelga between 1 January 2025 and 31 March 2027, at a rate of 35,000 certificates per calendar year. The unit selling price was set at €80.07 for 2025, €81.07 for 2026 and €82.07 for 2027.

- **Tangible fixed assets: €1,369,702,261.08 (+ €43,264,636.84)**

Almost the entire item relates to the value of our networks or "Regulatory Asset Base" (RAB).

This forms the basis of the fair remuneration.

The increase mainly results from the implementation of the investment programme, net of depreciation and asset disposals.

The evolution of net investments 2021–2025 (= gross investments – customer contributions – subsidies) is as follows:

Net investments

	Regulated assets			Non-regulated assets
(€)	**Distribution Electricity**	**Distribution Gas**	**Total**	
Achieved 2021	68,224,478	15,958,221	84,182,699	91,552
Achieved 2022	69,808,241	16,494,518	86,302,759	51,351
Achieved 2023	80,442,956	15,794,603	96,237,559	22,397
Achieved 2024	98,738,080	14,893,640	113,631,720	32,041
Achieved 2025	104,576,583	12,651,699	117,228,281	22,105

The evolution of the RAB and, secondarily, of certain non-regulated assets is as follows:

RAB

Book value (€)	Distribution Electricity	Distribution Gas	Total Regulated assets	Non-regulatedassets
at 31/12/2021	785,099,328	461,196,020	1,246,295,348	199,543
at 31/12/2022	812,574,623	444,022,864	1,256,597,486	177,185
at 31/12/2023	849,037,609	433,158,469	1,282,196,078	130,169
at 31/12/2024	899,883,540	421,145,889	1,321,029,429	101,417
at 31/12/2025	956,067,731	407,824,573	1,363,892,304	72,837

The RAB and non-regulated assets correspond to tangible fixed assets from which subsidies and deferred taxes have been deducted.

Book value (€)	Tangible fixed assets	Subsidies & Deferred taxes	Total
at 31/12/2021	1,250,583,702	-4,088,811	1,246,494,891
at 31/12/2022	1,260,852,659	-4,077,988	1,256,774,671
at 31/12/2023	1,286,776,367	-4,450,119	1,282,326,248
at 31/12/2024	1,326,437,624	-5,306,778	1,321,130,846
at 31/12/2025	1,369,702,261	-5,737,120	1,363,965,141

- **Financial fixed assets: €4,059,224.42 (-)**

This item relates mainly to Sibelga's stake in its subsidiary Brussels Network Operations (BNO). To a lesser extent, it also includes Sibelga's participation in Atrias as well as various guarantees and/or escrow deposits.

Current assets: €136,593,757.62 (- €38,891,869.15)

- **Inventories and orders in progress: €13,400,112.01 (- €1,742,004.65)**

This heading covers supplies relating to the "electricity", "gas", "mixed" and "public lighting" activities.

This item is down, mainly due to "public lighting" supplies (-€1.2m), accentuated by reductions in "gas" supplies (-€0.3m), "electricity" supplies (-€0.1m) and "mixed" supplies (-€0.1m).

This reduction, despite higher purchases (see below), is explained by work begun in 2024 on optimising Sibelga's stocks. Sibelga has set itself the target of increasing its stock rotation rate by 40% by 2029. It should be noted, however, that the sharp fall in the stock of "public lighting" supplies is due in particular to the devaluation of *Imperia*-type poles, which should no longer be installed on public highways in view of the transition to LED lighting. Retrofitting them to LED would be too complex and costly, both for the parts in stock and for the units already installed, whose condition and compatibility no longer meet current standards.

- **Amounts receivable within one year: €72,147,449.67 (+ €11,197,497.10)**

The bulk of this item relates to trade receivables, amounting to €57,951,446.09, which increased by €5,750,236.26.

Trade receivables break down as follows (in €m):

33.8	grid fee and works invoicing (+€2.3m)
9.9	miscellaneous and ancillary services (+€2.8m)
0.5	for invoices and credit notes to be drawn up (-€0.2m)
42.9	doubtful receivables excluding grid fee (-€0.3m)
-29.3	write-downs on receivables as part of the ruling obtained by the Anticipated Decisions Department (SDA) of the Federal Public Service Finance (+€1.2m)
58.0	

This item is completed by sundry receivables amounting to €14,196,003.58.
This amount is up by €5,447,260.84.
It breaks down as follows (in €m):

3.4	for recoverable VAT (+€3.2m)
4.9	for cash advances in Atria (-)
1.9	for the enrolment of "public service missions" and subsidies (-€0.2m)
0.1	a receivable from Brussels Environment under the SolarClick programme (-€0.2m)
1.5	balance of TSO fee to Elia (+€1.2m)
0.9	network damage (-€0.2m)
0.0	for the energy contribution (-)
1.7	for invoices relating to the Flexhub project, run jointly by the various Belgian DSOs and Elia. In this context, Sibelga acts as a financial buffer for invoices from the Delaware supplier, pending the creation of the entity that will centralise and capitalise these costs. (+€1.7m)
14.2	

- **Cash investments and cash at bank and in hand: €26,594,478.84 (- €62,217,146.33)**

This includes forward investments of €26.3m (-€62.2m) and cash at bank and in hand of €0.3m (-).

The sharp fall in this item is due to the use of loans taken out in 2024 to finance its activities and investments, as these were taken out to cover expected needs for 2024 and 2025. This decrease was partially offset by the subscription of two new bank loans in December 2025 for a total of €30m, covering requirements until June 2026.

Please refer to the cash flow statement below for further information on cash flow during the year.

- **Prepayments and accrued income: €24,451,717.10 (+ €13,869,784.73)**

The remaining amounts mainly concern:

- deferred charges of €7.0m (up €1.1m) on multi-year invoices, in accordance with accounting and tax law;
- accrued income relating to under-invoicing of grid fee advances in electricity and gas in 2025 for €2.8m (+ €2.8m);
- The PSO electricity and gas tariff regulation fund, which shows a balance of €8.3m (+€8.3m);
- accrued income on works performed for €0.4m (-€0.1m);
- accrued income from CREG for the specific social tariff amounting to €1.4m (+€0.2m);
- accrued income from Brussels Environment of €2.7m (up €1.1m);
- accrued income corresponding to the valuation of green certificates not yet granted by BRUGEL, relating to the electricity production for the year from Sibelga's cogeneration installations, amounting to €1.2m (+€0.6m);
- miscellaneous income receivable of €0.7m (+€0.1m).

Liability accounts

Shareholders' equity: €861,416,054.98 (+ €265,412.73)

- **Unavailable contribution outside capital (former – Capital): €580,000,000.00 (n.c.)**

This is represented by:
2,170,000 A shares worth €217,000,000.00
3,630,000 E shares worth €363,000,000.00

- **Revaluation surpluses: €158,233,015.29 (- €7,186,828.66)**

This decrease results from the treatment of depreciation on the revaluation surplus of the Regulatory Asset Base (RAB) recorded under tangible fixed assets.

- **Statutorily unavailable reserve (former – Legal reserve): €200,000.00 (n.c.)**

This was created in the past, in accordance with Article 428 of the former Companies Code, with a limit set at 10% of the fixed portion of share capital.

- **Other unavailable reserves: €118,257,272.58 (+ €7,186,828.66)**

These are determined in application of the derogation relating to the revaluation of tangible fixed assets, corresponding to the related depreciation on the revaluation surplus of these assets, as well as the revaluation surpluses on decommissioned installations, with reference to opinion 113/6 of the Accounting Standards Commission (CNC) and in compliance with the regulatory methodology.

The increase in these reserves is the counterpart to the decrease in revaluation surpluses (see above).

- **Available reserve: €422,927.21 (- €57,343.40)**

This item was created in 2023 for the amount corresponding to the unamortised ancillary costs of the new €190m loan, also recognised under assets as formation expenses.

- **Capital grants: €4,302,839.90 (+ €322,756.13)**

This item includes grants from the Brussels Region for pipeline relocation works as well as "energy" grants from Brussels Environment obtained for building investment works.

Within the scope of corporate income tax, a portion of 25.00% of the grants is transferred to the item "Deferred taxes" (see below).

Provisions and deferred taxes: €1,434,280.06 (- €12,756,376.47)

- **Provisions for liabilities and charges: €0.00 (- €12,863,961.89)**

Through the 2025–2029 tariff methodology, the regulator, BRUGEL, no longer allows provisions to be recorded except in relation to costs defined as "controllable" by the 2025–2029 tariff methodology. The "non-controllable" provisions previously recorded therefore had to be reversed in 2025 for the unused portion.

- Site remediation: €0.00 (- €0.2m).
- Rest term: €0.00 (- €11.6m). This provision constituted the financial coverage of the difference between allocated energy volumes (ex ante) and measured energy volumes (ex post) in reconciliation.
- Cogeneration: €0.00 (- €1.0 m) This provision covered non-routine maintenance and repairs to our cogeneration facilities.

- **Deferred taxes: €1,434,280.06 (+€107,585.42)**

Within the scope of corporate income tax, taking into account the law reforming corporate income tax, a portion of 25.00% of capital grants is recognised under the item "Deferred taxes". This is subsequently reduced in line with the depreciation of the underlying asset financed by the grant.

Debts: €652,255,134.83 (+€16,135,148.55)

- **Amounts payable after more than one year: €380,154,040.10 (+€22,537,751.28)**

This section comprises the following items:

– the non-subordinated bond loan: €190m (n.c.) This 10-year loan concluded in March 2023 with private investors on the USPP market notably made it possible to repay the €100m bond loan that matured in May 2023;
– bank loans: €190.1m (+ €23.1m). In 2025, Sibelga obtained two new loans of €15m each in the form of a 10-year and 15-year amortisable loan;
– the "pensions" credit line: €0.0m (- €0.5m). This is the credit line with Synatom at a variable rate, maturing in December 2026. The full amount not yet due therefore appears under liabilities payable within one year;
– cash guarantees received: €0.1m (n.c.).

- **Amounts payable within one year: €142,426,325.45 (-€21,560,958.43)**

This section essentially comprises 4 items:

– amounts payable after more than one year falling due within the year: €7.5m (+€1.7m);
– trade debts: €63.1m (-€27.7m);
– tax, remuneration and social security debts: €3.0m (- €0.8m);
– other debts: €68.9m (+ €5.3m).

Amounts payable within one year fell overall, due to a strong decrease in trade debts.

Trade debts mainly decrease in the suppliers item: €31.7m (-€30.6m).

Customers in credit amounted to €0.9m (+€0.1m). Invoices and credit notes receivable rose by €2.9m to €30.6m.

Tax liabilities amounted to €3.0m (down €0.8m) and mainly comprise estimated tax on 2025 profits of €2.8m. The remainder of this item comprises a series of contributions payable amounting to €0.2m (n.c).

Other liabilities mainly cover dividends to shareholders, rounded to: €55.1m (+€6.0m), the balance of the road tax due to the municipalities: €8.5m (-€1.5m), the share due to Brussels Environment for the Energy Guidance Fund and the Energy Policy Fund: €5.4m (+€0.9m).

- **Accruals and deferred income: €129,674,769.28 (+€15,158,355.70)**

This item consists mainly of deferred income: €128.4m (+€15.2m), almost all of which relates to the regulatory funds for non-controllable activities (= regulatory balances) for €125.5m (+€14.8m). The balance of deferred income relates to deferred income on works and rents of €2.9m (+€1.2m).

It should be noted that under the new methodology, the various tariff balances have been shown separately on the balance sheet. The balances shown under this heading are:

- Historical tariff regulation funds for electricity (€20.7m) and gas (€66.2m);
- tariff regulatory funds for the current period (2025–2029) in electricity (€21.0m) and in gas (€17.5m).

It should be noted that PSO tariff balances in both electricity (€7.8m) and gas (€0.5m) are recorded under accruals and deferred income on the asset side of the balance sheet because of their debit balance.

Movements in the regulatory balances are described in section **V. ANALYSIS OF THE 2025 RESULT ACCORDING TO THE REGULATORY APPROACH.**

Incidentally, this item also includes accrued charges: €1.3m (- €0.1m), which mainly relate to financial charges on the various loans amounting to €1.1m (n.c.), as well as provisions for invoices to be received amounting to €0.1m (n.c.).

1.2. INCOME STATEMENT

Overall, Sibelga's profit available for appropriation for the 2025 financial year is €55,004,211.38, compared with €49,067,501.29 for the previous financial year, an increase of €5,936,710.09. This increase is explained by the comments set out below.

Sales and services: €436,220,485.74 (- €4,969,143.26)

- **Turnover €396,711,061.34 (- €18,687,228.67)**

This item mainly concerns the billing of the grid fee to energy suppliers, for an amount of €384.8m (+ €42.5m).

This amount was reduced by €6.5m (- €61.8m) as part of the treatment of regulatory balances. These are described in section **V. ANALYSIS OF RESULTS FOR 2025 USING THE REGULATORY APPROACH** of this report.

Let's focus on **grid fee** billing.

- **The electricity business** covers 688,622 active supply points.
  In contrast to 2024, when a slight upturn in electricity consumption was observed for the first time since 2010, 2025 will again see a fall in consumption. Quantities billed totalled 3,879,899 MWh, a decrease of 1.09% on the previous year.

  These quantities enabled the intermunicipal company to bill €272,398,955.08 (including road charges of €25,527,764.09), an increase of 11.57%. This significant increase in revenue, despite a fall in the quantities distributed, is mainly due to the application of tariffs for the new tariff period, which in particular enabled us to catch up with inflation.

  It should also be noted that part of the tariff is not linked to fluctuations in volumes. This is the case for the measurement and metering tariff and capacity tariffs.

- **The gas business** covers 433,089 active supply points (EANs).

The quantities billed are 8,392,103 MWh, which is 0.43% lower than the quantities billed in 2024.

These quantities enabled the intermunicipal company to bill €112,391,240.96 in 2025 (including road charges of €12,946,132.57), an increase of 14.48%.

This significant increase in revenue, despite a slight fall in the quantities billed, is mainly due to the application of the new tariff period, which in particular enabled us to catch up with inflation.

It should also be noted that part of the tariff is not linked to fluctuations in volumes. This is the case for the measurement and metering tariff and capacity tariffs.

It should be noted that the degree days for the 2025 financial year are 1,973, whereas the standard in the tariff proposal was 2013 degree days. They are also slightly above the previous year's level (1,942), an increase of 1.60%.

The "turnover" item also includes (in €m)

charges for the use of substations billed to Elia, Iverlek and Sibelgas	2.1	(+0.2)
energy sales to protected customers	10.2	(+0.7)
heat sales (cogeneration) and green certificate sales	4.5	(-0.1)
work on behalf of third parties	0.7	(-0.1)
study fees invoiced	0.4	(n.c.)
charges re-invoiced to subsidiaries	0.5	(-0.1)
rental of gas appliances	0.1	(n.c.)
	18.4	(+0.6)

Sales to protected customers rose in 2025 compared with the previous year, despite a slight fall in the number of protected customers, offset by a higher average price.

Sales of heat from cogeneration facilities were up (+€0.4m), while income from green certificates was down (-€0.5m). In 2024, Sibelga concluded a contract with Electrabel in which the latter undertook to purchase 105,000 green certificates from Sibelga between 1 January 2025 and 31 March 2027, at a rate of 35,000 certificates per calendar year. As agreed, in January 2025, Sibelga sold 35,000 green certificates to Electrabel at €80.07 each.

In summary, turnover for the 2025 financial year amounts to €396,711,061.34 compared with €415,398,290.01 in the previous financial year, representing a decrease of €18,687,228.67, mainly impacted by changes in movements relating to regulatory balances, partially offset by the increase in grid fees for electricity and gas resulting from the new tariffs.

- **Other operating income: €26,636,353.64 (+ €2,645,276.27)**

Other income mainly comprises (in €m):

		Variation
invoicing for the provision of services (fairs and festivities, opening and closing of meters, work without provision, fraud and seal tampering, repair of damage, etc.)	7.4	(+0.6)
recovery of administrative costs (fraud, seal tampering)	0.7	(+0.2)
recovery of management fees	0.4	(n.c.)
compensatory indemnities (forgotten meters, fraud, seal tampering)	9.1	(+2.4)
operating subsidies (NRClick and SolarClick programmes)	4.5	(n.c.)
use-of-asset fees and cost recovery	1.8	(+0.1)
gains on disposal of intangible fixed assets	0.8	(-0.2)
claims recoveries	0.1	(-0.1)
various recoveries	1.8	(-0.4)
	26.6	(+2.6)

The increase in other operating income was mainly due to higher energy compensation (+€2.1m).

- **Non-recurring operating income: €12,873,070.76 (+ €11,072,809.14)**

Non-recurring operating income (formerly extraordinary income) totalled €12,873,070.76, compared with €1,800,261.62 the previous year, an increase of €11,072,809.14.

This increase is mainly attributable to reversals of provisions (Rest-Term, soil remediation and cogeneration) following the application of the new tariff methodology.

The turnover achieved, together with other operating income and non-recurring operating income, must enable the intermunicipal company to cover its costs.

Cost of sales and services: €350,084,962.59 (- €16,355,547.51)

- **Supplies and merchandise: €55,646,900.70 (- €19,222,401.15)**

This item, which is decreasing, covers purchases and changes in inventories.

In compliance with public procurement legislation, these purchases are awarded under the most economically advantageous conditions, taking into account the criteria set out in the specifications.

- **Purchases for inventory supplies**, totalling €34.2m, with an overall increase of €5.8m. This increase is mainly due to higher purchases of "electricity" supplies (+€3.8m) and "public lighting" supplies (+€1.3m), mainly as a result of the acceleration of the smart meter and LED programmes. Purchases of "gas" supplies also increased (+ €0.6m), while "mixed" supplies increased more slightly (+ €0.1m).
- **Inventory returns**, at €0.5m, remained broadly stable compared with the previous year .
- **Energy purchases** make up the remainder of the purchases item, amounting to €19.7m, a decrease of €25.6m.

They break down as follows (expressed in €m):

Activities	Electricity	Gas	Total	Variation
Liberalised market reconciliation	-7.5	-11.4	-18.9	-16.4
Protected customers	7.2	6.2	13.4	1.7
Network losses	10.1	-	10.1	-7
Public lighting	9.4	-	9.4	-2.2
Cogeneration		5.7	5.7	-1.7
Total	**19.2**	**0.5**	**19.7**	**-25.6**

Financial reconciliation between actors in the liberalised market for financial years 2021 (final reconciliation), 2022 and 2023 (provisional reconciliation) enabled Sibelga to recover €11.4m for the "gas" activity compared with €3.5m the previous year (- €8.5 m). For "electricity", Sibelga recorded a recovery of €7.5m compared with an adjustment (payable) of €1.0m in 2024 (- €8.5m).

Energy purchases for protected customers totalled €13.4m, an increase of €1.7m. This increase is the result of higher energy prices despite a fall in the number of protected customers.

Energy purchases to cover network losses totalled €10.1m (down €7.0m), while cogeneration purchases amounted to €5.7m (down €1.7m). The reduction in energy procurement costs for network losses is mainly due to lower requirements, linked to the absence of interruption of Sibelga's cogeneration unit at Quai des Usines in 2025. In comparison, this unit was stopped during the first half of 2024 due to road instability affecting the operation of the gas pipeline supplying the installation. In addition, electricity purchase prices for grid losses and gas purchase prices for cogeneration were lower in 2025 than the previous year.

Energy purchases for public lighting amounted to €9.4m, a decrease of €2.2m. This is due to a lower average price in 2025 than in 2024. In addition, this price effect was accentuated by an 11.5% reduction in volumes consumed for public lighting, resulting from the gradual switch to LEDs.

- Lastly, **changes in inventories** represented an overall expense of €1.2m, compared with an expense of €0.7m the previous year, representing an increase of almost €0.5m.

- **Services and miscellaneous goods: €211,498,933.50 (- €439,414.43)**

This item accounts for almost 2/3 of total operating expenses.

Let's look in more detail at the main items under this heading (expressed in €m), with the change compared with the previous financial year:

Activities	Expenses	Variation
Management fees (BNO)	142.7	+0.1
Sub-contractor (maintenance & repairs)	69.7	+5.5
Third-party services	54.5	-2.6
Road charges	38.5	+1.0
Direct purchases	13.4	-0.5
Licences and intangible rights	11.6	+1.3
Costs capitalised to intangible fixed assets	-130	-6.2
Subtotal	200.3	-1.4
Other miscellaneous	11.2	+1.0
Total	**211.5**	**-0.4**

Comments:

- **Management fees (BNO)** represent the largest item under this heading at €142.7m, broadly stable compared with the previous year (+€0.1m).

  This stability in the level of management fees invoiced by BNO, despite the fact that remuneration, social security charges and pensions totalled €133.5m, up €8.5m on the previous year, is mainly due to the significant write-back of provisions for long-service awards in accordance with the new tariff methodology It should be noted that the workforce has increased by 33.1 FTEs between the end of 2024 and the end of 2025, representing an increase of 2.8%.

  Subcontracting of maintenance and repair work amounted to €69.7m, an increase of €5.5m. It should be noted that this expense is partly attributable to investments and partly to operations. The portion attributable to investments is capitalised under tangible fixed assets (see below);

  Third-party services remain a major item, with an expense of €54.5m, down €2.6m. They mainly cover the use of IT consultancy services;

– **Road charges** amounted to €38.5m, an increase of €1.0m. We saw above that the quantities distributed fell by 1.09% for electricity and 0.43% for gas. However, this general fall in quantities was offset by a rise in tariffs. It should be remembered that, in accordance with the Order of 1 April 2004 governing road user charges, indexation is applied to the basic amounts.

This results in the following breakdown by energy type:

- electricity, €25.5m, an increase of €0.6m;
- gas, €12.9m, an increase of €0.4m;

Direct purchases amounted to €13.4m, a decrease of €0.5m. It should be noted that these direct purchases are attributable to both investment and operations. The portion attributable to investments is capitalised under tangible fixed assets (see below);

– **Licences** amounted to €11.6m, an increase of €1.3m;

– **Costs capitalised to tangible fixed assets**, amounting to €130.0m, increased by €6.2m (resulting in a decrease in expenses). They are linked to the completion of the investment programme and the larger property acquisitions in 2025.

In addition to the most significant items mentioned above, all other items represented an expense of €11.2m, an increase of €1.0m. These mainly comprise internet and telephone costs, insurance, energy for own consumption, transport costs and various contributions. The increase is largely due to a 2024 accounting reclassification, whereby soil remediation costs were transferred from services and other goods to non-recurring expenses, offset at the time by the use of a previously recognised provision.

- **Remuneration, social security contributions and pensions: €31,297.08 (+€984.36)**

This item has become non-material following the transfer of staff to the BNO subsidiary on 1 October 2009.

- **Depreciation and impairment of tangible fixed assets: €70,214,923.63 (+ €969,035.29)**

This represents an increase of 1.4%, in line with the growth in tangible assets. Depreciation and impairment are considered as a source of self-financing for investments. Compared with net investments (excluding subsidies), the self-financing deficit amounts to €60.2m for electricity. For the gas business, we have a surplus of €14.1m. As a result, there was a cash flow deficit from investment of €46.1m.

Since 2025, certain gas assets at risk of stranding have been subject to accelerated depreciation, in line with the 2025–2029 tariff methodology. This depreciation will amount to around €0.1m in 2025.

In addition, Brugel has approved changes to depreciation rules, extending the useful life of electric vehicles from five to six years, and of smart meters from 10 to 15 years.

It should also be noted that the recognition of the RAB on the balance sheet generated a revaluation surplus, which is depreciated in line with the underlying assets.

- **Impairment of inventories and trade receivables: -€1,158,804.81 (-€3,511,315.10)**

  – **Inventory impairments** are regularly adjusted based on operational activity and economic reality. Movements during the year amounted to €0.5m, stable compared with last year.

  – Net impairment on trade receivables amounts to -€1.7m (-€3.6m).

During the year, impairments of €12.4m (+€1.0m) were recorded on receivables related to various ancillary activities. This increase is mainly driven by higher provisions for protected customers (+€1.7m), partly offset by a decrease for CHC (-€0.7m).

In addition, €7.0m of previously recognised impairments were utilised and €7.2m were reversed.

In summary, impairment on trade receivables results in a net charge of -€1.7m, as follows:

(in €m)	2025	2024	Delta (impact on income)
Additions	12.4	11.4	+1.0
Utilisations	-7.0	-2.4	-4.5
Reversals	-7.2	-7.0	-0.1
Total	**-1.7**	**1.9**	**-3.6**

- **Provisions for risks and charges: €0.0 (+€1,830,224.79)**

These are nil compared with a negative charge of -€1,830,224.79 in the previous year.

The absence of additions and utilisations is explained by the application of the tariff methodology, as described in the balance sheet section on provisions.

Given the nature of the reversals recorded, these have been recognised under non-recurring operating income.

Movements in provisions can be summarised as follows:

(in €m)	2025	2024	Delta (impact on income)
Additions	0.00	+2.0	-2.0
Utilisations	0.00	-2.6	+2.6
Reversals	0.00	-1.2	+1.2
Total	**0.00**	**-1.8**	**+1.8**

- **Other operating expenses: €13,851,712.49 (+ €4,015,846.39)**

This heading covers two main items:

- **losses on disposals of tangible fixed assets**, amounting to €4.4m, mainly related to demolitions. These fell by €1.3m, mainly due to disposals linked to the Masui site in 2024;
- **losses on trade receivables**, amounting to €8.2m, recorded in accordance with accounting and tax rules. These were up on the previous year (+€5.1m). It should be noted that the majority of this expense relates to receivables linked to fraud and consumption without contract.

The balance relates mainly to special excise duties (€0.6m), a relatively stable situation compared with last year.

- **Non-recurring operating expenses: €0.00 (+ €1,492.34)**

There were no non-recurring operating expenses during the year.

Operating profit was €86,135,523.15, compared with €74,749,118.90 in the previous year.

Operating profit increased by €11,386,404.25. The table below summarises the main trends:

(in €m)	2025	2024	Impact on results
Turnover	396.7	415.4	-18.7
Other income	26.6	24.0	+2.6
Non-recurring income	**12.9**	1.8	+11.1
Sub-total income	**436.2**	**441.2**	**-5.0**
Supplies	55.6	74.9	-19.2
Miscellaneous goods and services	211.5	211.9	-0.4
Depreciations	70.2	69.2	+1.0
Value adjustments	-1.2	2.4	-3.5
Movements in provisions	0.00	-1.8	+1.8
Other expenses (losses)	13.9	9.8	+4.0
Non-recurring expenses	0.00	0.0	0.0
Sub-total expenses	**350.1**	**366.4**	**+16.4**
Operating result	**86.1**	**74.7**	**+11.4**

The financial result represents a charge. This amounted to €10,840,033.65 compared with €7,572,282.69 in the previous year.

The financial result decreased by €3,267,750.96.

- **Financial income** fell from €2,928,625.96 to €2,183,538.94 (-€745,087.02).

These mainly comprise interest on current accounts and investments of €1.8m (-€0.7m), interest on advances of €0.1m (-€0.1m), and reversals of capital subsidies of €0.2m (n.c.).

- **Financial expenses** rose from €10,500,908.65 to €13,023,572.59 (+€2,522,663.94).

Most of the expenses relate to interest on the 2023 USPP loan for €8.0m (n.c.), interest on bank loans for €4.9m (+€2.6m) and interest on the Synatom credit line for €0.1m (n.c.).

The increase in financial expenses is explained by a rise in the interest expense generated by the new loans taken out during 2024 and, to a lesser extent, those taken out in 2025 (+€2.6m).

Profit for the year before tax was €75,295,489.50, compared with €67,176,836.21 in the previous year.

- **Transfers from deferred taxes: €55,479.69 (+ €7,196.24).**

This item is recognised in line with the depreciation of tangible fixed assets partially financed by an investment grant.

- **Income tax**

This item amounts to €20,346,757.81 (+€2,189,139.44).

The increase in this item is mainly due to:

- the increase in the taxable base (+€10.9m * 25% tax = +€2.7m):
    - Increase in pre-tax profit (+€8.1m),
    - Changes in disallowed expenses and reserves (+€2.8m).

- A reversal of a provision taxable at the historical rate.

Profit for the year was €55,004,211.38, compared with €49,067,501.29 in the previous year.

Appropriation of profit

It is proposed to the Ordinary General Meeting of 11 June 2026 to distribute a dividend of €55,061,554.78, corresponding to the profit for the financial year increased by the withdrawal from available reserves related to the amortisation of issuance costs of the USPP loan contracted in 2023.

This proposal complies with Articles 6:114, 6:115 and 6:117 of the Belgian Code of Companies and Associations (**net assets test**, which will be covered in a separate report).

This proposal withstands the solvency test, which consists of prohibiting a dividend distribution if net assets are negative or would become negative following such a distribution.

Payment of this amount will be made at the end of June 2026.

1.3. FINANCING TABLE

This summary table shows all the resources mobilised during the financial year and how they were used.

Cash flow statement 31.12.2025 (in €m)	Detail	Total
Cash flow from operating activities		
Net profit for the year	55.0	
Non-cash expenses	63.9	
Changes in working capital	-43.9	
CASH FLOW FROM OPERATING ACTIVITIES = (A)		**75.1**
Cash flow from investing activities		
Investments for the year	-117.2	
Disposals	4.4	
CASH FLOW FROM INVESTING ACTIVITIES = (B)		**-112.8**
Cash flow from financing activities		
Capital		
• increase	0.0	
• reduction	0.0	
Capital subsidies	0.4	
Long-term debt		
• increase	30.0	
• repayment	-5.8	
Dividends paid	-49.1	
CASH FLOW FROM FINANCING ACTIVITIES = (C)		**-24.5**
NET CASH FLOW = (A) + (B) + (C)		**-62.2**
Cash and cash equivalents		
Start of period = (D)		88.8
End of period = (F)		26.6
Delta = (F) — (D)		-62.2

2. INFORMATION ON SIGNIFICANT EVENTS OCCURRING AFTER THE END OF THE FINANCIAL YEAR

None.

3. INFORMATION ON CIRCUMSTANCES LIKELY TO HAVE A SIGNIFICANT INFLUENCE ON THE COMPANY'S DEVELOPMENT

3.1. THIRD-PARTY INVESTOR(S)

As the private company Electrabel withdrew from the intermunicipal company on 31 December 2012, Sibelga's articles of association allow one or more third-party investors to acquire up to 30% of the share capital. However, this is not envisaged in the short term.

In any event, the public authorities involved will retain a minimum stake of 70% of the share capital.

3.2. INSTITUTIONAL, BUDGETARY AND REGULATORY CONTEXT IN THE BRUSSELS-CAPITAL REGION

With the new regional legislature and now that a full government has been established, the legal framework applicable to Sibelga's activities is likely to change. This may include, in particular, the ordinances governing the electricity and gas markets, thermal energy networks, and intermunicipal cooperation. Furthermore, the Region's challenging budgetary situation could negatively impact Sibelga's public service obligations, which benefit from regional subsidies.

3.3. DEVELOPMENTS IN THE EUROPEAN FRAMEWORK

Developments in the European framework could have an impact on Sibelga's activities, particularly through:

- The **European grids package**, which aims to introduce legislative and non-legislative measures to improve efficiency in planning, permitting and grid connections, thereby positively impacting energy bills for European citizens;
- the **Public Procurement Directive** and the **EU Industrial Accelerator Act**, which, in strategic sectors, promote or require sourcing products and services that are "made in the EU";
- the **Energy package**, including an electrification action plan, a clean energy investment strategy, and a heating and cooling strategy.

3.4. RISKS AND UNCERTAINTIES

The section on "Risks and Uncertainties" above also provides information on the circumstances likely to have a significant influence on the company's development.

4. DETAILS OF RESEARCH AND DEVELOPMENT ACTIVITIES

In 2025, Sibelga continued and intensified its research and development activities to support major transitions in the energy sector: increasing electrification of uses, decarbonisation of heating, integration of decentralised renewable generation, evolving consumption patterns, and growing requirements in terms of data and digital intelligence.

The work carried out focused on five areas defined in the current tariff framework:

- **Heat**: Sibelga has strengthened its expertise in the decarbonisation of heating, in particular through its active participation in the Energy 2050 Task Force mandated by the Government of the Brussels-Capital Region as part of the Air Climate Energy 2023 Plan (PACE) coordinated by Brussels Environment and Brugel. The studies carried out focused on mapping areas of technical feasibility, the technical and economic evaluation of transition scenarios, analysis of the heating network value chain, the development of business models adapted to the Brussels context, as well as a more in-depth examination of technical aspects (geothermal energy, low-temperature networks, industrial heat pumps).
- **Smart grid**: Several initiatives were undertaken to prepare a more flexible and resilient network, including modelling of decentralised generation within the real-time management system (ADMS), load estimation per low-voltage feeder, evaluation of Energy Management System (EMS) solutions, preparation of specifications for HV/LV state estimation, analysis of local flexibility mechanisms, and preparatory work on advanced tariff structures. A 5G proof-of-concept (POC) has also been launched to evaluate the performance of this technology for critical network uses.
- **Asset management**: Work in 2025 focused on preparing the future enhancement of the Digital Twin, notably through monitoring consumption profiles related to electric mobility, heat pumps and photovoltaics. Analyses of load behaviour observed at other DSOs have helped to consolidate our knowledge.
- **Data availability:** Sibelga continued work on a Near Real Time (NRT) platform, preparation of a public consultation, and evaluation of sub-metering solutions. A POC on the provision of non-validated gas data via pulse sensors delivered positive results. A new activity related to open data was also launched, including preparation of a capacity map.
- **Artificial intelligence**: Although not initially planned, Sibelga carried out several proof-of-concepts involving generative AI (secure translation, training planning, customer request routing, generation of educational content, use of Copilot Pro). The aim was to develop in-house expertise, assess the potential benefits and provide a framework for the responsible adoption of these technologies.

In 2025, Sibelga therefore carried out a series of R&D activities in line with the objectives linked to the energy transition in Brussels.

5. DIVERSITY POLICY

Sibelga is committed to diversity. In this respect, the latest amendment to the Articles of Association made at the Annual General Meeting on 2 October 2025 confirmed that each of the company's bodies must set an example and maintained the obligation to aim for at least 1/3 – 2/3 male/female representation on the Executive Committee, and to aim for parity on the Board of Directors. This ambition is therefore clear and goes beyond the requirements set out in the Brussels Code on equality, non-discrimination and the promotion of diversity for intermunicipal entities. Indeed, this Code merely requires the presence of persons of different genders within statutory and legal bodies.

Accordingly, municipalities are also required to nominate candidates of different genders where they hold multiple mandates.

6. INFORMATION ON THE EXISTENCE OF BRANCHES OF THE COMPANY

None.

7. THE BALANCE SHEET SHOWS A LOSS CARRIED FORWARD OR THE PROFIT AND LOSS ACCOUNT SHOWS A LOSS FOR THE YEAR FOR TWO SUCCESSIVE FINANCIAL YEARS.

None.

8. ALL INFORMATION REQUIRED TO BE INCLUDED BY THE BELGIAN COMPANIES AND ASSOCIATIONS CODE

None.

9. USE OF FINANCIAL INSTRUMENTS BY THE COMPANY

Where the intermunicipal entity has excess cash during the financial year, it follows a prudent policy consisting of investing such surplus in money market funds or bond funds with very low risk (AAA or AA ratings), in term deposits, or in commercial papers issued by public institutions in the Brussels Region.

In order to ensure, where necessary, the financing of its activities, Sibelga has a Medium Term Notes (MTN) programme for an amount of €200m.

This concludes our comments on the 2025 financial statements.

In conclusion, we ask you to approve the financial statements as presented.

VII. Administration and supervision

1. ELECTIONS

Pursuant to Article 17 of the Articles of Association, in the event of a vacancy on the Board, the Board of Directors is entitled to fill the vacancy on a provisional basis, on the proposal of the shareholder who nominated the director whose term of office has become vacant. The General Meeting, at its first subsequent meeting, confirms the appointment of the co-opted director.

You are therefore requested, at this Meeting, to confirm the co-option of:

- a director, Mr Anas Ben Abdelmoumen, to complete the term of office previously held by Mrs Karine Lalieux, who has resigned;
- a director, Mr Martin de Brabant, to complete the term of office previously held by Mrs Audrey Henry, who has resigned;

2. DISCHARGE

We kindly ask you to grant, by special vote, discharge to the directors and the statutory auditor for the performance of their duties during the 2025 financial year.

Brussels, 13 May 2026
The board of directors

Independent auditor’s report to the general meeting of Sibelga CV for the year ended 31 December 2025

In the context of the statutory audit of the Annual Accounts) of Sibelga CV (the “Company”), we report to you as statutory auditor. This report includes our opinion on the balance sheet as at 31 December 2025, the income statement for the year ended 31 December 2025 and the disclosures (all elements together the “Annual Accounts”) as well as our report on other legal and regulatory requirements. These two reports are considered one report and are inseparable.

We have been appointed as statutory auditor by the shareholders’ meeting of 17 June 2025, in accordance with the proposition by the Board of Directors following recommendation of the Audit Committee. Our mandate expires at the shareholders’ meeting that will deliberate on the Annual Accounts for the year ending 31 December 2027. We performed the statutory audit of the Annual Accounts of the Company during 13 consecutive years.

REPORT ON THE AUDIT OF THE ANNUAL ACCOUNTS

UNQUALIFIED OPINION

We have audited the Annual Accounts of Sibelga CV, that comprise of the balance sheet on 31 December 2025, the income statement of the year and the disclosures, which show a balance sheet total of € 1,515,105,470 and of which the income statement shows a profit for the year of € 55,004,211.

In our opinion, the Annual Accounts give a true and fair view of the Company’s net equity and financial position as at 31 December 2025, and of its results for the year then ended, prepared in accordance with the financial reporting framework applicable in Belgium.

BASIS FOR THE UNQUALIFIED OPINION

We conducted our audit in accordance with International Standards on Auditing (“ISA’s”) applicable in Belgium. In addition, we have applied the ISA's approved by the International Auditing and Assurance Standards Board (“IAASB”) that apply at the current year-end date and have not yet been approved at national level. Our responsibilities under those standards are further described in the “Our responsibilities for the audit of the Annual Accounts” section of our report.

We have complied with all ethical requirements that are relevant to our audit of the Annual Accounts in Belgium, including those with respect to independence.

We have obtained from the Board of Directors and the officials of the Company the explanations and information necessary for the performance of our audit and we believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

RESPONSIBILITIES OF THE BOARD OF DIRECTORS FOR THE PREPARATION OF THE ANNUAL ACCOUNTS

The Board of Directors is responsible for the preparation of the Annual Accounts that give a true and fair view in accordance with the financial reporting framework applicable in Belgium and for such internal controls relevant to the preparation of the Annual Accounts that are free from material misstatement, whether due to fraud or error.

As part of the preparation of Annual Accounts, the Board of Directors is responsible for assessing the Company’s ability to continue as a going concern, and provide, if applicable, information on matters impacting going concern, The Board of Directors should prepare the financial statements using the going concern basis of accounting, unless the Board of Directors either intends to liquidate the Company or to cease business operations, or has no realistic alternative but to do so.

OUR RESPONSIBILITIES FOR THE AUDIT OF THE ANNUAL ACCOUNTS

Our objectives are to obtain reasonable assurance whether the Annual Accounts are free from material misstatement, whether due to fraud or error, and to express an opinion on these Annual Accounts based on our audit. Reasonable assurance is a high level of assurance, but not a guarantee that an audit conducted in accordance with the ISA’s will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Annual Accounts.

In performing our audit, we comply with the legal, regulatory and normative framework that applies to the audit of the Annual Accounts in Belgium. However, a statutory audit does not provide assurance about the future viability of the Company, nor about the efficiency or effectiveness with which the board of directors has taken or will undertake the Company's business operations. Our responsibilities with regards to the going concern assumption used by the board of directors are described below.

As part of an audit in accordance with ISA’s, we exercise professional judgment and we maintain professional skepticism throughout the audit. We also perform the following tasks:

- identification and assessment of the risks of material misstatement of the Annual Accounts, whether due to fraud or error, the planning and execution of audit procedures to respond to these risks and obtain audit evidence which is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting material misstatements resulting from fraud is higher than when such misstatements result from errors, since fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- obtaining insight in the system of internal controls that are relevant for the audit and with the objective to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company’s internal control;

- evaluating the selected and applied accounting policies, and evaluating the reasonability of the accounting estimates and related disclosures made by the Board of Directors as well as the underlying information given by the Board of Directors;

- conclude on the appropriateness of the Board of Directors' use of the going-concern basis of accounting, and based on the audit evidence obtained, whether or not a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Annual Accounts or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the Company to cease to continue as a going-concern;

- evaluating the overall presentation, structure and content of the Annual Accounts, and evaluating whether the Annual Accounts reflect a true and fair view of the underlying transactions and events.

We communicate with the Audit Committee within the Board of Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

RESPONSIBILITIES OF THE BOARD OF DIRECTORS

The Board of Directors is responsible for the preparation and the content of the Board of Directors' report on the Annual Accounts, the compliance with the legal and regulatory requirements regarding bookkeeping, as well as compliance with the Code of companies and associations and with the Company's articles of association.

RESPONSIBILITIES OF THE STATUTORY AUDITOR

In the context of our mandate and in accordance with the additional standard to the ISA's applicable in Belgium, it is our responsibility to verify, in all material respects, the Board of Directors' report on the Annual Accounts, the compliance with the legal and regulatory requirements regarding bookkeeping, as well as compliance with the Code of companies and associations and with the Company's articles of association, as well as to report on these matters.

ASPECTS RELATING TO BOARD OF DIRECTORS' REPORT

In our opinion, after carrying out specific procedures on the Board of Directors' report, the Board of Directors' report is consistent with the Annual Accounts and has been prepared in accordance with articles 3:5 and 3:6 of the Code of companies and associations.

In the context of our audit of the Annual Accounts, we are also responsible to consider whether, based on the information that we became aware of during the performance of our audit, the Board of Directors' report contain any material inconsistencies or contains information that is inaccurate or otherwise misleading. In light of the work performed, there are no material inconsistencies to be reported.

INDEPENDENCE MATTERS

Our audit firm and our network have not performed any services that are not compatible with the statutory audit of the Annual Accounts and have remained independent of the Company during the course of our mandate.

The fees related to additional services which are compatible with the audit of the Annual Accounts as referred to in article 3:65 of the Code of companies and associations were duly itemized and valued in the notes to the Annual Accounts.

OTHER COMMUNICATIONS

- Without prejudice to certain formal aspects of minor importance, the accounting records were maintained in accordance with the legal and regulatory requirements applicable in Belgium.

- The appropriation of the results proposed to the general meeting complies with the relevant requirements of the law and the Company's articles of association.

- There are no transactions undertaken or decisions taken in breach of the articles of association or of the Code of companies and associations that we have to report to you.

- In the context of article 6:115 of the Code of companies and associations, we have prepared the attached assessment report on the net asset test. We have assessed the historical and prospective accounting and financial data of the report of the board of directors in the context of the distribution[s] decided by the general meeting of 16 June 2026 in accordance with Article 6:116 of the Code of companies and associations and our decision communicated to the board of directors.

Diegem, 14 May 2026

EY Bedrijfsrevisoren BV Statutory auditor Represented by
Carlo-Sébastien D'Addario * Partner
*Acting on behalf of a BV/SRL

Annual accounts

Assets

	Codes	31/12/25	31/12/24
FORMATION EXPENSES	**20**	**422,927.21**	**480,270.61**
FIXED ASSETS	**21/28**	**1,378,088,785.04**	**1,335,495,387.68**
II. Intangible fixed assets	**21**	**4,327,299.54**	**4,998,539.02**
III. Tangible fixed assets	**22/27**	**1,369,702,261.08**	**1,326,437,624.24**
A. Land and buildings	22	69,116,417.69	67,202,085.52
B. Plant, machinery and equipment	23	1,252,846,490.78	1,211,110,270.39
C. Furniture and vehicles	24	47,666,515.21	48,023,851.12
E. Other tangible fixed assets	26	72,837.40	101,417.21
IV. Financial fixed assets	**28**	**4,059,224.42**	**4,059,224.42**
A. Affiliated enterprises	280/1	4,018,873.24	4,018,873.24
1. Participating interests	*280*	*4,018,873.24*	*4,018,873.24*
B. Enterprises linked by participating interests	282/3	3,100.00	3,100.00
1. Participating interests	*282*	*3,100.00*	*3,100.00*
C. Other financial fixed assets	284/8	37,251.18	37,251.18
1. Shares	*284*	*288.33*	*288.33*
2. Amounts receivable and cash guarantees	*285/8*	*36,962.85*	*36,962.85*
CURRENT ASSETS	**29/58**	**136,593,757.62**	**175,485,626.77**
VI. Stocks and contracts in progress	**3**	**13,400,112.01**	**15,142,116.66**
A. Stocks	30/36	13,400,112.01	15,142,116.66
1. Raw materials and consumables	*30/31*	*13,400,112.01*	*15,142,116.66*
VII. Amounts receivable within one year	**40/41**	**72,147,449.67**	**60,949,952.57**
A. Trade debtors	40	57,951,446.09	52,201,209.83
B. Other amounts receivable	41	14,196,003.58	8,748,742.74
VIII. Current investments	**50/53**	**26,252,386.16**	**88,473,739.02**
B. Other current investments	51/53	26,252,386.16	88,473,739.02
IX. Cash at bank and in hand	**54/58**	**342,092.68**	**337,886.15**
X. Deferred charges and accrued income	**490/1**	**24,451,717.10**	**10,581,932.37**
TOTAL ASSETS	**20/58**	**1,515,105,469.87**	**1,511,461,285.06**

Equity and liabilities

	Codes	31/12/25	31/12/24
EQUITY	**10/15**	**861,416,054.98**	**861,150,642.25**
I. Contribution	**10/11**	**580,000,000.00**	**580,000,000.00**
A. Unavailable	111	580,000,000.00	580,000,000.00
III. Revaluation surpluses	**12**	**158,233,015.29**	**165,419,843.95**
IV. Reserves	**13**	**118,880,199.79**	**111,750,714.53**
A. Reserves not available	131	118,457,272.58	111,270,443.92
1. Reserves statutorily not available	*1311*	*200,000.00*	*200,000.00*
2. Other	*1319*	*118,257,272.58*	*111,070,443.92*
B. Available reserves	133	422,927.21	480,270.61
VI. Investment grants	**15**	**4,302,839.90**	**3,980,083.77**
PROVISIONS AND DEFERRED TAXES	**16**	**1,434,280.06**	**14,190,656.53**
VII. A. Provisions for liabilities and charges	**160/5**	**0.00**	**12,863,961.89**
4. Environmental obligations	*163*	*0.00*	*214,262.12*
5. Other liabilities and charges	*164/5*	*0.00*	*12,649,699.77*
B. Deferred taxes	**168**	**1,434,280.06**	**1,326,694.64**
AMOUNTS PAYABLE	**17/49**	**652,255,134.83**	**636,119,986.28**
VIII. Amounts payable after more than one year	**17**	**380,154,040.10**	**357,616,288.82**
A. Financial debts	170/4	380,099,186.80	357,016,854.73
1. Unsubordinated debentures	*171*	*190,000,000.00*	*190,000,000.00*
2. Credit institutions	*173*	*190,099,186.80*	*167,016,854.73*
D. Other amounts payable	178/9	54,853.30	599,434.09
IX. Amounts payable within one year	**42/48**	**142,426,325.45**	**163,987,283.88**
A. Current portion of amounts payable after more than	42	7,462,248.72	5,766,477.99
C. Trade debts	44	63,056,769.81	90,745,279.39
1. Suppliers	*440/4*	*63,056,769.81*	*90,745,279.39*
D. Advances on contracts in progress	46	15,723.51	15,205.25
E. Taxes, remuneration and social security	45	2,968,064.52	3,808,850.60

1. Taxes	*450/3*	*2,967,818.93*	*3,808,502.63*
2. Remuneration and social security	*454/9*	*245.59*	*347.97*
F. Other amounts payable	47/48	68,923,518.89	63,651,470.65
X. Deferred charges and accrued income	**492/3**	**129,674,769.28**	**114,516,413.58**
TOTAL LIABILITIES	**10/49**	**1,515,105,469.87**	**1,511,461,285.06**

INCOME STATEMENT	Codes	31/12/25	31/12/24
I. Operating income	**70/76A**	**436,220,485.74**	**441,189,629.00**
A. Turnover	70	396,711,061.34	415,398,290.01
B. Other operating income	74	26,636,353.64	23,991,077.37
E. Non-recurring operating income	76A	12,873,070.76	1,800,261.62
II. Operating charges	**60/66A**	**-350,084,962.59**	**-366,440,510.10**
A. Raw materials and consumables	60	55,646,900.70	74,869,301.85
1. Purchases	*600/8*	*54,432,921.73*	*74,209,480.61*
2. Stocks: decrease (increase)	*609*	*1,213,978.97*	*659,821.24*
B. Services and other goods	61	211,498,933.50	211,938,347.93
C. Remuneration, social security costs + pension	62	31,297.08	30,312.72
D. Depreciation of and other amounts written down formation expenses, intangible and tangible fixed assets	630	70,214,923.63	69,245,888.34
E. Amounts written down stocks, contracts in progress and trade debtors: Appropriations (write-backs)	631/4	-1,158,804.81	2,352,510.29
F. Provisions for risks and charges: Appropriations (uses and write-backs	635/8	0.00	-1,830,224.79
G. Other operating charges	640/8	13,851,712.49	9,835,866.10
I. Non-recurring operating charges	66A	0.00	-1,492.34
III. Operating profit (loss)	**9901**	**86,135,523.15**	**74,749,118.90**
IV. Financial income	**75/76B**	**2,183,538.94**	**2,928,625.96**
A. Recurring financial income	75	2,183,538.94	2,928,625.96
1. Income from financial fixed assets	*750*	*1,011.15*	*1,043.94*
2. Income from current assets	*751*	*2,013,877.93*	*2,779,554.41*
3. Other financial income	*752/9*	*168,649.86*	*148,027.61*

V. Financial charges	**65/66B**	**-13,023,572.59**	**-10,500,908.65**
A. Recurring financial charges	65	13,023,572.59	10,499,416.31
1. Debt charges	*650*	*13,003,242.17*	*10,481,742.13*
2. Other financial charges	*652/9*	*20,330.42*	*17,674.18*
B. Non recurring financial charges	66B	0.00	1,492.34
VI. Gain (loss) for the period before taxes	**9903**	**75,295,489.50**	**67,176,836.21**
VII. Transfer from deferred taxes	**780**	**55,479.69**	**48,283.45**
VIII. Income taxes	**67/77**	**-20,346,757.81**	**-18,157,618.37**
A. Taxes	670/3	20,346,757.81	18,157,618.37
IX. Gain (loss) of the period	**9904**	**55,004,211.38**	**49,067,501.29**
X. Gain (loss) of the period available for appropriation	**9905**	**55,004,211.38**	**49,067,501.29**

APPROPRIATION ACCOUNT	Codes	31/12/24	31/12/24
A. Profit (loss) to be appropriated	**9906**	**55,004,211.38**	**49,067,501.29**
1. Gain (loss) of the period available for appropriation	*9905*	*55,004,211.38*	*49,067,501.29*
B. Withdrawals from capital and reserves	**791/2**	**-57,343.40**	**-57,343.40**
C. Transfers to capital and reserves	**691/2**	**0.00**	**0.00**
1. to other reserves	*6921*	*0.00*	*0.00*
F. Profit to be distributed	**694/7**	**55,061,554.78**	**49,124,844.69**
1. Remuneration of the contribution	*694*	*55,061,554.78*	*49,124,844.69*

ANALYSIS OF THE RESULTS : ACTIVITY DISTRIBUTION OF GAS AND ELECTRICITY	31/12/25		31/12/24	
(Income + / Costs -)	Electricity	Gas	Electricity	Gas
	EUR	EUR	EUR	EUR
Operating income	**272,398,955.08**	**112,391,240.96**	**244,152,162.63**	**98,175,387.44**
Grid fee	272,398,955.08	112,391,240.96	244,152,162.63	98,175,387.44
Distribution costs	**-91,784,834.40**	**-46,455,063.67**	**-110,777,598.25**	**-45,444,747.71**
Maintenance	-17,890,094.46	-13,158,393.60	-17,627,535.43	-10,013,103.50
Support services	-68,019,100.21	-41,089,495.59	-64,758,519.87	-39,441,708.59
IT (excluding projects)	-33,660,597.12	-17,146,846.32	-28,255,850.15	-15,136,281.65
IT projects	-14,711,745.11	-5,799,676.99	-24,537,378.49	-8,034,719.56
Customer and commercial services	-9,543,619.12	-6,159,962.69	-9,094,952.12	-6,457,766.36
Logistics services	-8,215,518.88	-4,024,054.45	-7,539,142.66	-3,693,734.78
Coverage of network losses & rest term	-3,109,986.22	12,287,503.53	-20,592,238.62	4,148,248.74
Miscellaneous fees	63,365,826.72	28,635,862.44	61,628,019.09	33,184,317.99
Depreciation	**-46,656,643.94**	**-25,789,193.61**	**-46,359,668.89**	**-26,634,265.23**
Tariff balances	**-1,286,274.47**	**-257,185.33**	**757,657.08**	**630,091.59**
Pension annuities & long-service bonuses	**-3,496,678.81**	**-1,882,827.11**	**-2,540,226.54**	**-1,367,814.25**
Public Service Obligations (PSO)	**-48,224,233.42**	**-5,843,239.40**	**-46,802,928.93**	**-4,393,959.03**
Protected customers	-6,859,032.65	-4,101,393.63	-4,648,636.81	-2,478,590.28
Street lighting	-39,418,130.71	0.00	-39,909,756.61	0.00
Other obligations	-1,947,070.06	-1,741,845.77	-2,244,535.51	-1,915,368.75
Road usage fees	**-25,527,764.09**	**-12,946,132.57**	**-24,924,150.50**	**-12,544,081.58**
Taxes & other levies	**-15,717,424.87**	**-6,075,517.30**	**-13,608,316.11**	**-6,629,398.35**
Regulatory tariff balances	**11,670,328.87**	**2,269,038.10**	**39,845,197.94**	**15,394,151.54**

Financial expenses	**-9,337,494.76**	**-1,690,937.59**	**-6,032,539.01**	**-1,758,169.71**
Unregulated Activities	**-714,007.51**	**-39,898.78**	**-42,803.56**	**-26,479.28**
RESULT of the YEAR	**41,323,927.68**	**13,680,283.70**	**33,666,785.86**	**15,400,715.43**
Changes in reserves	**37,273.21**	**20,070.19**	**37,273.21**	**20,070.19**
Reversals (+)	37,273.21	20,070.19	37,273.21	20,070.19
Allocations (-)	0.00	0.00	0.00	0.00
Profit to be distributed	**41,361,200.89**	**13,700,353.89**	**33,704,059.07**	**15,420,785.62**
	55,061,554.78		**49,124,844.69**	

Notes to the accounts

STATEMENT OF EXPENSES FOR FORMATION, CONTRIBUTION INCREASE, LOAN ISSUE EXPENSES AND RESTRUCTURING COSTS	Codes	Year	Previous year
Net book value at the end of the period	**20P**	**xxxxxxxxxxxxxxx**	**480,270.61**
Movements during the period			
New expenses incurred	8002	0.00	
Depreciation	8003	-57,343.40	
Other	8004	0.00	
Net book value at the end of the period	**(20)**	**422,927.21**	
Of which			
Expenses for formation, contribution increase, loan issue expenses and other formation expenses	200/2	422,927.21	
Restructuring costs	204		

STATEMENT OF INTANGIBLE ASSETS	Codes	Year	Previous year
CONCESSIONS, BREVETS, LICENCES, SAVOIR-FAIRE, MARQUES ET DROITS SIMILAIRES			
Acquisition value at the end of the year	**8052P**	**xxxxxxxxxxxxxxx**	**4,998,539.02**
Movements during the year			
Acquisitions, including self-constructed assets	8022	2,131,210.52	
Sales and disposals	8032	-2,802,450.00	
Transfers from one heading to another (+)/(-)	8042	0.00	
Acquisition value at the end of the year	**8052**	**4,327,299.54**	
Depreciation and write downs at the end of the year	**8122P**	**xxxxxxxxxxxxxxx**	**0.00**
Movements during the year			
Recognised	8072	0.00	
Reversed	8082	0.00	
Acquired from third parties	8092	0.00	
Cancelled due to sales and disposals	8102	0.00	
Transferred from one heading to another (+)/(-)	8112	0.00	
Depreciation and write-downs at the end of the year	**8122**	**0.00**	
NET BOOK VALUE AT THE END OF THE YEAR	**(214)**	**4,327,299.54**	

STATEMENT OF TANGIBLE ASSETS	Codes	Year	Previous year
LAND AND BUILDINGS			
Acquisition value at the end of the year	**8191P**	**xxxxxxxxxxxxxxx**	**112,262,054.96**
Movements during the year			
Acquisitions, including self-constructed assets	8161	3,614,419.46	
Sales and disposals	8171	-3,246.42	
Transfers from one heading to another (+)/(-)	8181	0.00	
Acquisition value at the end of the year	**8191**	**115,873,228.00**	
Capital gains at the end of the year	**8251P**	**xxxxxxxxxxxxxxx**	**922,903.26**
Movements during the year			
Recognised	8211	0.00	
Acquired from third parties	8221	0.00	
Cancelled	8231	-21,928.18	
Transferred from one heading to another (+)/(-)	8241	0.00	
Capital gains at the end of the year	**8251**	**900,975.08**	
Depreciation and write downs at the end of the year	**8321P**	**xxxxxxxxxxxxxxx**	**-45,982,872.70**
Movements during the year			
Recognised	8271	-1,675,130.88	
Reversed	8281	0.00	
Acquired from third parties	8291	0.00	
Cancelled due to sales and disposals	8301	218.19	
Transferred from one heading to another (+)/(-)	8311	0.00	
Depreciation and write downs at the end of the year	**8321**	**-47,657,785.39**	
NET BOOK VALUE AT THE END OF THE YEAR	**(22)**	**69,116,417.69**	

	Codes	Year	Previous year
PLANT, MACHINERY AND EQUIPMENT			
Acquisition value at the end of the year	**8192P**	**xxxxxxxxxxxxxxx**	**2,031,758,411.98**
Movements during the year			
Acquisitions, including self-constructed assets	8162	101,530,514.24	
Sales and disposals	8172	-22,371,788.30	
Transfers from one heading to another (+)/(-)	8182	0.00	
Acquisition value at the end of the year	**8192**	**2110,917,137.92**	
Capital gains at the end of the year	**8252P**	**xxxxxxxxxxxxxxx**	**164,496,940.69**
Movements during the year			
Recognised	8212	0.00	
Acquired from third parties	8222	0.00	
Cancelled	8232	-7,164,900.48	
Transferred from one heading to another (+)/(-)	8242	0.00	
Capital gains at the end of the year	**8252**	**157,332,040.21**	
Depreciation and write downs at the end of the year	**8322P**	**xxxxxxxxxxxxxxx**	**-985,145,082.28**
Movements during the year			
Recognised	8272	-48,287,472.33	
Reversed	8282	0.00	
Acquired from third parties	8292	0.00	
Cancelled due to sales and disposals	8302	18,029,867.26	
Transferred from one heading to another (+)/(-)	8312	0.00	
Depreciation and write downs at the end of the year	**8322**	**-1,015,402,687.35**	
NET BOOK VALUE AT THE END OF THE YEAR	**(23)**	**1,252,846,490.78**	

	Codes	Year	Previous year
FURNITURE AND ROLLING STOCK			
Acquisition value at the end of the year	**8193P**	**xxxxxxxxxxxxxxx**	**128,139,413.66**
Movements during the year			
Acquisitions, including self-constructed assets	8163	12,735,608.00	
Sales and disposals	8173	-5,156,819.40	
Transfers from one heading to another (+)/(-)	8183	0.00	
Acquisition value at the end of the year	**8193**	**135,718,202.26**	
Capital gains at the end of the year	**8253P**	**xxxxxxxxxxxxxxx**	**0.00**
Movements during the year			
Recognised	8213	0.00	
Acquired from third parties	8223	0.00	
Cancelled	8233	0.00	
Transferred from one heading to another (+)/(-)	8243	0.00	
Capital gains at the end of the year	**8253**	**0.00**	
Depreciation and write downs at the end of the year	**8323P**	**xxxxxxxxxxxxxxx**	**-80,115,562.54**
Movements during the year			
Recognised	8273	-13,019,337.65	
Reversed	8283	0.00	
Acquired from third parties	8293	0.00	
Cancelled due to sales and disposals	8303	5,083,213.14	
Transferred from one heading to another (+)/(-)	8313	0.00	
Depreciation and write-downs at the end of the year	**8323**	**-88,051,687.05**	
NET BOOK VALUE AT THE END OF THE YEAR	**(24)**	**47,666,515.21**	

	Codes	Year	Previous year
OTHER TANGIBLE ASSETS			
Acquisition value at the end of the year	**8195P**	**xxxxxxxxxxxxxxx**	**304,548.38**
Movements during the year			
Acquisitions, including self-constructed assets	8165	22,105.11	
Sales and disposals	8175	-60,158.02	
Transfers from one heading to another (+)/(-)	8185	0.00	
Acquisition value at the end of the year	**8195**	**266,495.47**	
Depreciation and write-downs at the end of the year	**8325P**	**xxxxxxxxxxxxxxx**	**-203,131.17**
Movements during the year			
Recognised	8275	-46,154.11	
Reversed	8285	0.00	
Acquired from third parties	8295	0.00	
Cancelled due to sales and disposals	8305	55,627.21	
Transferred from one heading to another (+)/(-)	8315	0.00	
Depreciation and write downs at the end of the year	**8325**	**-193,658.07**	
NET BOOK VALUE AT THE END OF THE YEAR	**(26)**	**72,837.40**	

STATEMENT OF FINANCIAL ASSETS	Codes	Year	Previous year
RELATED UNDERTAKINGS – HOLDINGS, SHARES AND UNITS			
Acquisition value at the end of the year	**8391P**	**xxxxxxxxxxxxxx**	**4,018,873.24**
Movements during the year		**0.00**	
Acquisitions	8361	0.00	
Disposals and withdrawals	8371	0.00	
Transfers from one heading to another (+)/(-)	8381	4,018,873.24	
Acquisition value at the end of the year	**8391**	**4,018,873.24**	
NET BOOK VALUE AT THE END OF THE YEAR	**(280)**	**4,018,873.24**	
PARTICIPATING INTERESTS – HOLDINGS, SHARES AND UNITS			
Acquisition value at the end of the year	**8392P**	**xxxxxxxxxxxxxx**	**3,100.00**
Movements during the year		**0.00**	
Acquisitions	8362	0.00	
Disposals and withdrawals	8372	0.00	
Transfers from one heading to another (+)/(-)	8382	3,100.00	
Acquisition value at the end of the year	**8392**	**3,100.00**	
NET BOOK VALUE AT THE END OF THE YEAR	**(282)**	**3,100,00**	
OTHER UNDERTAKINGS – HOLDINGS, SHARES AND UNITS			
Acquisition value at the end of the year	**8393P**	**xxxxxxxxxxxxxx**	**288.3**
Movements during the year		**0.00**	
Acquisitions	8363	0.00	
Disposals and withdrawals	8373	0.00	
Transfers from one heading to another (+)/(-)	8383	288.33	
Acquisition value at the end of the year	**8393**	**288.33**	
NET BOOK VALUE AT THE END OF THE YEAR	**(284)**	**288,33**	

OTHER UNDERTAKINGS – AMOUNTS RECEIVABLE	Codes	Year	Previous year
NET BOOK VALUE AT THE END OF THE YEAR	**285/8P**	**xxxxxxxxxxxxxx**	**36,962.85**
Movements during the year			
Additions	8583	0.00	
Reimbursements	8593	0.00	
Write downs recognised	8603	0.00	
Write downs reversed	8613	0.00	
Exchange rate differences (+)/(-)	8623	0.00	
Other (+)/(-)	8633	0.00	
NET BOOK VALUE AT THE END OF THE YEAR	**(285/8)**	**36,962.85**	

INFORMATION ON SHAREHOLDINGS
SHAREHOLDINGS AND RIGHTS HELD IN OTHER UNDERTAKINGS

The following are the undertakings in which the company holds a share (included in asset headings 280 and 282) and the other undertakings in which the company holds rights (included in asset headings 284 and 51/53) representing at least 10% of the capital, equity or a class of shares of the company.

NAME, full address of the REGISTERED OFFICE and for undertakings under Belgian law, mention of the COMPANY NUMBER	Rights held			Data taken from the latest available annual accounts			
	directly		via subsidiaries	Annual accounts as at	Currency code	Equity	Net result
	Number	%	%			(+) of (-) (in units)	
1) **BRUSSELS NETWORK OPERATIONS** 706 Cooperative society BE 0881 278 355 Quai des Usines,16 1000 Bruxelles, Belgique Fixed	189	97.93		31/12/2025	EUR	23,229.00	1,204.32
2) **ATRIAS** 706 Cooperative society BE 0836 258 873 Boulevard du Roi Albert II, 37 1030 Bruxelles, Belgique Variable	62	16.67		31/12/2024	EUR	18,600.00	0.00

CASH INVESTMENTS AND ACCRUALS	Codes	Year	Previous year
CASH INVESTMENTS – OTHER INVESTMENTS			
Fixed income securities	**52**	**2,000,000.00**	**40,500,000.00**
Fixed income securities issued by credit institutions	8684	2,000,000.00	40,500,000.00
Term accounts held with credit institutions	**53**	**24,252,386.16**	**47,973,739.02**
With a residual or notice period			
of one month at the most	*8686*	*24,243,040.85*	*47,964,393.71*
of more than one month to one year at the most	*8687*	*9,345.31*	*9,345.31*
of more than one year	*8688*	*0.00*	*0.00*
Other cash investments not included above	**8689**		

DEFERRED CHARGES AND ACCRUED INCOME	Year
Breakdown of asset item 490/1 if it represents a significant amount	
1) Deferred charges	7,000,698.72
2) Accrued income	17,451,018.38

STATUS OF THE CONTRIBUTION AND SHAREHOLDING STRUCTURE	Codes	Year	Previous year
STATUS OF THE CONTRIBUTION			
Contribution			
Unavailable at the end of the year	111P	xxxxxxxxxxxxxxx	580,000,000.00
Unavailable at the end of the year	(111)	580,000,000.00	

	Codes	Amounts	Number of shares
Changes during the year			
Registered shares	8702	xxxxxxxxxxxxxxx	
Dematerialised shares	8703	xxxxxxxxxxxxxxx	0.00

SHAREHOLDER STRUCTURE OF THE COMPANY AT THE CLOSING DATE OF ITS ACCOUNTS

as it results from the declarations received by the company pursuant to Article 7:225 of the Companies and Associations Code Article 14, Paragraph 4 of the Act of 2 May 2007 on the disclosure of major holdings or Article 5 of the Royal Decree of 21 August 2008 laying down additional rules for certain multilateral trading facilities.

NAME of the persons holding rights in the company, with mention of the ADDRESS (of the registered office for legal entities) and, for companies under Belgian law, mention of the COMPANY NUMBER	Rights held			
	Nature	Number of voting rights		
		Attached to securities	Not attached to securities	%
1) **Interfin SC** BE 0222.944.897 quai des Usines 16, 1000 Brussels, Belgium	A and E shares	5,799,962		99.99
2) **The 19 Brussels municipalities** BE 0000.009.797 Maison communale 9999, 1000 Bruxelles-ville, Belgium	A shares	38		0.01

STATEMENT OF LIABILITIES AND ACCRUALS	Codes	Year
BREAKDOWN OF DEBTS ORIGINALLY PAYABLE IN ONE YEAR OR MORE, ACCORDING TO THEIR RESIDUAL TERM		
Debts payable in one year or more falling due within the year		
Financial debts	8801	6,917,667.93
Subordinated loans	*8811*	
Unsubordinated bonds	*8821*	*0.00*
Leasing and other similar obligations	*8831*	
Credit institutions	*8841*	*6,917,667.93*
Other loans	*8851*	
Trade debts	8861	
Suppliers	*8871*	
Bills of exchange payable	*8881*	
Advances on contracts in progress	8891	
Other debts	8901	544,580.79
Total debts payable in one year or more falling due within the year	**(42)**	**7,462,248.72**
Debts with more than one year but not more than 5 years to run		
Financial debts	8802	30,034,578.18
Subordinated loans	*8812*	
Unsubordinated bonds	*8822*	
Leasing and other similar obligations	*8832*	
Credit institutions	*8842*	*30,034,578.18*
Other loans	*852*	
Trade debts	8862	
Suppliers	*8872*	
Bills of exchange payable	*8882*	
Advances on contracts in progress	8892	
Other debts	8902	54,853.30
Total liabilities with more than one year but not more than 5 years to run	**8912**	**30,089,431.48**

Debts with more than 5 years to run		
Financial debts	8803	350,064,608.62
Subordinated loans	*8813*	
Unsubordinated bonds	*8823*	*190,000,000.00*
Finance lease and similar liabilities	*8833*	
Credit institutions	*8843*	*160,064,608.62*
Other loans	*8853*	
Trade debts	8863	
Suppliers	*8873*	
Bills of exchange payable	*8883*	
Advances on contracts in progress	8893	
Other amounts payable	8903	
Total debts with more than 5 years to run	**8913**	**350,064,608.62**

	Codes	Year
TAX, REMUNERATION AND SOCIAL SECURITY DEBTS		
Taxes (liabilities item 450/3 and 178/9)		
Matured tax liabilities	9072	
Unmatured tax liabilities	9073	170,157.35
Estimated tax liabilities	450	2,797,661.58
Remuneration and social security charges (liability items 454/9 and 178/9)		
Debts due to the National Social Security Office	9076	
Other remuneration and social security debts	9077	245.59

DEFERRED CHARGES AND ACCRUED INCOME	Year
Breakdown of liability item 492/3 if it represents a significant amount	
1) Regulatory bonus/malus	*125,471,374.19*
2) Financial charges on debts	*1,149,850.66*
2) Other	*3,053,544.43*

OPERATING INCOME	Codes	Year	Previous year
OPERATING INCOME			
Net turnover			
Breakdown by category of activity			
1) Electricity		*283,154,690.23*	*297,232,533.58*
2) Gas		*113,556,371.11*	*118,165,756.43*
Breakdown by geographical market			
1) Belgium		*396,711,061.34*	*415,398,290.01*
Other operating income			
Operating subsidies and compensatory amounts obtained from public authorities	740	4,562,891.05	4,517,501.79
OPERATING EXPENSES			
Personnel costs			
Retirement and survivor's pensions	624	31,297.08	30,312.72
Write downs			
On stocks and orders in progress			
Recognised	*9110*	*528,025.68*	*451,416.30*
Reversed	*9111*	*0.00*	*0.00*
On trade receivables			
Recognised	*9112*	*12,423,907.84*	*11,382,977.38*
Reversed	*9113*	*-14,110,738.33*	*-9,481,883.39*
Provisions for risks and charges			
Constitutions	9115	0.00	1,976,244.64
Uses and reversals	9116	0.00	-3,806,469.43
Other operating expenses			
Taxes related to operations	640	532,442.50	185,251.21
Other	641/8	13,319,269.99	9,650,614.89

FINANCIAL RESULTS	Codes	Year	Previous year
RECURRING FINANCIAL INCOME			
Other financial income			
Subsidies granted by public authorities and charged to the income statement			
Capital grants	*9125*	*166,439.18*	*144,850.45*
Interest subsidies	*9126*		
Allocation of other financial income			
Currency differences financial income	754	0.00	0.00
Various		0.00	0.00
Various		*2,210.68*	*3,177.16*
RECURRING FINANCIAL CHARGES			
Depreciation of loan issue expenses	**6501**	**57,343.40**	**57,343.40**
Capitalized Interests	**6502**		
Amounts written off current assets			
Recorded	6510		
Written back	6511		
Other financial charges			
Amount of the discount borne by the partnership, as a result of negotiating amounts receivable	653		
Provisions of a financial nature			
Appropriations	6560		
Uses and written backs	6561		
Allocation of other financial charges			
Currency differences realized	654	21.97	75.91
Foreign currency exchange differences	655		
Other		20,308.45	17,598.27

INCOME AND EXPENSES OF EXCEPTIONAL SIZE OR IMPACT	Codes	Year	Previous year
NON-RECURRING INCOME	**76**	**12,873,070.76**	**1,800,261.62**
Non-recurring operating income	**(76A)**	**12,873,070.76**	**1,800,261.62**
Reversals of depreciation and write downs on intangible and tangible fixed assets	760		
Reversals of provisions for exceptional operating risks and expenses	7620	12,863,961.89	1,800,261.62
Capital gains on the disposal of intangible and tangible fixed assets	7630		
Other non-recurring operating income	764/8	9,108.87	0,00
Non-recurring financial income	**(76B)**	**0.00**	**0,00**
Reversals of write downs on financial assets	761		
Reversals of provisions for exceptional inancial risks and charges	7621		
Capital gains on the disposal of financial assets	7631		
Other non-recurring financial income	769	0.00	0.00

	Codes	Year	Previous year
NON-RECURRING EXPENSES	**66**	**0.00**	**0.00**
Non-recurring operating expenses	**(66A)**	**0.00**	**-1,492.34**
Non-recurring depreciation and write downs on formation expenses, intangible and tangible assets	660	0.00	0.00
Provisions for extraordinary operating liabilities and charges: allocations (uses) (+)/(-)	6620	0.00	-742,141.39
Losses on the disposal of intangible and tangible assets	6630		
Other non-recurring operating expenses	664/7	0.00	740,649.05
Non-recurring operating expenses capitalised as restructuring costs (-)	6690		
Non-recurring financial expenses	**(66B)**	**0.00**	**1,492.34**
Depreciation and write downs on financial assets	661		
Provisions for extraordinary financial risks and charges: allocations (uses) (+)/(-)	6621		
Losses on the disposal of financial assets	6631		
Other non-recurring financial expenses	668	0.00	1,492.34
Non-recurring financial expenses capitalised as restructuring costs	6691		

TAXES AND DUES	Codes	Year
INCOME TAX		
Income tax for the year	**9134**	**20,346,757.81**
Taxes and withholdings due or paid	9135	17,549,096.23
Excess tax payments or withholding taxes capitalised	9136	0.00
Estimated additional taxes	9137	2,797,661.58
Income tax on previous years' income	**9138**	**0.00**
Additional taxes due or paid	9139	0.00
Estimated or provided for additional taxes	9140	
Main sources of discrepancies between profit before tax, as expressed in the accounts, and the estimated taxable profit		
1) Non-deductible expenditure		*543,086.39*
2) Taxed changes to provisions, depreciation and write downs		*7,186,828.66*
3) Increase in the starting situation of reserves		*-681,922.59*
4) Profit taxable at 33.99% (rate difference)		*0.00*
5) Profit taxable at 29.58% (rate difference)		*1,462,010.26*
Sources of tax latency		
Active latencies	**9141**	**-1,004,907.90**
Accumulated tax losses, deductible from future taxable profits	9142	
Other active latencies	9142	
1) Reductions in value on exempt commercial receivables		*-1,004,907.90*
Passive latencies	**9144**	**158,233,015.29**
Breakdown of passive latencies		
1) Revaluation gain on tangible assets		*158,233,015.29*

	Codes	Year	Previous year
VALUE-ADDED TAXES AND OTHER TAXES PAYABLE BY THIRD PARTIES			
Value added taxes, entered in the accounts			
To the company (deductible)	9145	102,227,638.84	94,134,058.72
By the company	9146	130,253,154.99	110,219,504.64
Amounts withheld from third parties for			
Withholding tax on earned income	9147	34,512.64	29,506.93
Withholding tax	9148		

RIGHTS AND OFF-BALANCE SHEET COMMITMENTS	Year
COMMITMENTS RESULTING FROM TECHNICAL GUARANTEES ATTACHED TO SALES OR SERVICES ALREADY PROVIDED	
1) Guarantees provided to the region	471,297.92
2) Guarantees provided by various suppliers	12,105,842.44
3) Guarantees provided by various suppliers	95,673,228.48
4) Customer commitments for rental equipment	55,452.98
5) Agreements, mission letters and miscellaneous	11.00

AMOUNT, NATURE AND FORM OF LITIGATION AND OTHER SIGNIFICANT COMMITMENTS

SUPPLEMENTARY RETIREMENT OR SURVIVOR’S PENSION SCHEMES FOR THE BENEFIT OF STAFF OR MANAGERS

Brief description

Pension liabilities to staff members and their beneficiaries.

RELATIONS WITH AFFILIATED UNDERTAKINGS, ASSOCIATED UNDERTAKINGS AND OTHER UNDERTAKINGS LINKED BY PARTICIPATING INTERESTS	Codes	Year	Previous year
AFFILIATED UNDERTAKINGS			
Financial assets	**(280/1)**	**4,018,873.24**	**4,018,873.24**
Shareholdings	(280)	4,018,873.24	4,018,873.24
Subordinated receivables	9271		
Other amounts receivable	9281		
Amounts receivable	**9291**	**507,574.26**	**551,422.26**
Payable after more than one year	9301		
Payable within one year	9311	507,574.26	551,422.26
Debts	**9351**	**24,451,101.73**	**39,707,854.60**
Payable after more than one year	9361		
Payable within one year	9371	24,451,101.73	39,707,854.60
Financial results			
Income from financial assets	9421	1,011.15	1,011.15
Income from current assets	9431		
Other financial income	9441		
Debt charges	9461		
Other financial charges	9471		
UNDERTAKINGS LINKED BY VIRTUE OF A PARTICIPATING INTEREST			
Financial assets	**9252**	**3,100.00**	**3,100.00**
Shareholdings	9262	3,100.00	3,100.00
Subordinated receivables	9272		
Other amounts receivable	9282		
Amounts receivable	**9292**	**4,975,716.46**	**4,942,738.51**
Payable after more than one year	9302		
Payable within one year	9312	4,975,716.46	4,942,738.51
Amounts payable	**9352**	**1,883.37**	**381,157.82**
Over one year	9362	0.00	0.00
Within one year	9,372	1,883.37	381,157.82

TRANSACTIONS WITH RELATED PARTIES UNDER NON-MARKET CONDITIONS

Mention of such transactions if significant, including the amount of such transactions, the nature of the relationship with the related party, and any other information about the transactions that is necessary to obtain a better understanding of the company's financial position: In the absence of legal criteria.

1) Nihil

FINANCIAL RELATIONS	Codes	Year
WITH THE DIRECTORS AND MANAGERS, NATURAL OR LEGAL PERSONS WHO DIRECTLY OR INDIRECTLY CONTROL THE COMPANY WITHOUT BEING RELATED TO IT OR OTHER UNDERTAKINGS DIRECTLY OR INDIRECTLY CONTROLLED BY THESE PERSONS		
Direct and indirect remuneration and pensions granted, charged to the profit and loss account, provided that this does not relate exclusively or primarily to the position of a single identifiable person		
To the directors and managers	9503	75,420.00
To former directors and former managers	9504	0.00
WITH THE AUDITOR(S) AND THE PERSONS WITH WHOM THEY ARE RELATED		
Emoluments of the auditor(s)	**9505**	**96,398.55**
Fees for exceptional services or special assignments performed within the company by the auditor(s)		
Other certification assignments	95061	37,794.50
Tax advisory services	95062	
Other assignments outside the audit assignment	95063	

Information pursuant to Article 3:64, Paragraphs 2 and 4 of the Companies and Associations Code

INFORMATION TO BE COMPLETED BY COMPANIES SUBJECT TO THE PROVISIONS OF THE COMPANIES AND ASSOCIATIONS CODE RELATING TO CONSOLIDATED ACCOUNTS

The enterprise neither prepares nor publishes consolidated financial statements and a relating annual report for one of the following reasons :

The enterprise only has subsidiaries which are\ immaterial, both individually and collectively, considering the consolidated assets, financial position or profit (art 3:23)
The enterprise itself is a subsidiary of an enterprise which does prepare and publish consolidated accounts in which annual accounts of the enterprise are included

If yes, justification of the compliance with all conditions for exemption set out in art. 3:26, §2 and §3 of Company Law
With reference to Article 3:26 CSA we declare that SC INTERFIN, holding 99.9993% of the contribution, consolidates the elements relating to our intermunicipal company in its consolidated accounts by the global integration method.

Name, full address of registered office and, for an enterprise governed by Belgian Law, the V. A. T. or national number of the parent company preparing and publishing the consolidated accounts required

INTERFIN
0222.944.897
Quai des usines 16,
1000 Brussels,
Belgium

INFORMATION TO BE COMPLETED BY THE COMPANY IF IT IS A SUBSIDIARY OR JOINT SUBSIDIARY

Name, full address of the registered office and, in the case of a company incorporated under Belgian law, the business number of the parent company and an indication of whether that parent company prepares and publishes consolidated accounts in which its annual accounts are included by consolidation:

INTERFIN SC
BE 0222 944 897
quai des Usines 16,
1000 Brussels,
Belgium

The parent company prepares and publishes consolidated accounts.
This is information given for the largest holding.

Valuation rules

1. INTANGIBLE FIXED ASSETS

Development or software costs are recognised in the period in which they are paid or received.

Green certificates not sold as at 31 December are recognised under item 21, in accordance with CNC opinion 2009/14. These green certificates are activated, at minimum, for the amount at which the local transmission system operator (ELIA) is obligated to buy them (Article 28§1 of the Ordinance regulating the electricity market in the Brussels Capital Region). A higher value may be applied if it appears that an energy supplier has committed to purchasing green certificates at a higher unit price. In such a case, the value of the certificates already activated will be adjusted accordingly, in accordance with the FIFO method.

2. TANGIBLE FIXED ASSETS

In view of the accounting constraints arising from the special control regime to which companies in our sector are subject, the Ministry of Economic Affairs has authorised us, by virtue of Article 15 of the Law of 17 July 1975 relating to the accounting and annual accounts of companies, to adapt the headings for tangible fixed assets in the balance sheet.

This amendment consists essentially of a transfer of:

- civil engineering assets, from heading 22 to heading 23;
- Tools and equipment, from heading 23 to heading 24;
- residential buildings, from heading 26 to heading 22.

Acquisition value :
Tangible fixed assets are recorded as assets in the balance sheet at their acquisition or production cost, or at their contribution value. Production cost is determined according to the rules accepted by the regulator and set out in the tariff methodology, which include a proportion of overheads (indirect costs), with the exception of gas installations acquired or constructed from 2025 onwards (excluding radiators rented out), which will no longer be increased by their proportion of overheads.

Ancillary costs :
Ancillary costs are included in the acquisition value of the relevant tangible fixed assets.
These include, among other things, non-deductible VAT. Incidental costs are depreciated at the same rate as the assets to which they relate.

Third-party commitments :
Third-party commitments towards the financing of tangible fixed assets are deducted proportionately from their acquisition values.

Depreciation:

Depreciation is calculated using the straight-line method from the time the fixed assets are capitalised, regardless of the date on which the asset is brought into service. Assets acquired or constructed during the financial year have, since 1 January 2015 and following Sibelga becoming subject to corporate income tax, been depreciated on a pro rata temporis basis. An asset acquired during month n will be depreciated from the 1st day of month n+1.

The depreciation rates to be considered are as follows:

- 0% on land listed under codes 22
- 2% on administrative buildings listed under codes 22
- 3% on industrial buildings listed under codes 23
- 2% on low and high voltage cables listed under codes 23
- 2% on low and medium pressure pipes listed under codes 23
- 3% on substations, control rooms and points, listed under codes 23
- 3% on connections listed under codes 23
- 6% on mechanical measuring and metering devices included under codes 23
- 6.67% on electronic measuring and metering devices (whether remotely measured and/or communicating, listed under codes 23)
- 10% on other fixed assets listed under codes 23
- 16.67% on electric rolling stock and 20% on other rolling stock listed under codes 24
- 33.33% on IT and office equipment listed under codes 24
- 10% on other fixed assets listed under codes 24
- 20% on radiators rented out listed under codes 26

For gas, a specific form of accelerated depreciation is authorised by BRUGEL for assets depreciated at 2% or 3% that carry a "stranding" risk and are not linked to the energy transition.

More specifically, this consists of:

- the application of a "normal" depreciation rate to the acquisition value of an asset (net of third-party contributions);
- the annual application of a "supplementary" depreciation rate to the net book value. The "supplementary" rate is identical to the "normal" rate of the underlying asset.

Difference between the initial RAB and the book value of tangible fixed assets :

Until the end of 2009, tangible fixed assets were recognised on the asset side of the balance sheet on the basis of their book value (i.e. acquisition cost less accumulated depreciation), revalued in accordance with the exemption granted by the Ministry of Economic Affairs on 22 November 1985..

The initial capital investment value (iRAB) was determined on the basis of a technical inventory of the tangible fixed assets valued at their economic value on 31.12.2001 for electricity fixed assets and on 31.12.2002 for gas fixed assets.

The tariff decrees require that the RAB evolve according to the following formula:
RABn = iRAB + investments n - depreciation n - decommissionings n.

The regulator requires that the RAB introduced in the tariff proposals can be reconciled with the DSO's accounting statements at any time.

Sibelga has decided to record the RAB in its accounts from 2010 and has therefore:

- cancelled the historical revaluation surpluses in its accounts,
- recognised the difference between the RAB and the book value of the tangible fixed assets (not revalued) as at 31/12/2009. This difference, referred to as the RAB surplus value, is recognised under separate headings for tangible fixed assets.

Article 5 §1 of the Royal Decree of 2 September 2008 stipulates that the portion of the RAB surplus value relating to equipment taken out of service in the course of the year concerned must be deducted annually from the RAB. This deduction of the surplus value is included in the costs at a rate of 2% per year in the first regulatory period (2009–12).

Sibelga applied this provision from the 2010 financial year onwards and following the freezing of tariffs for the years 2013 and 2014, the 2% rate was maintained.

Since 2015, Sibelga has followed the methodology introduced by the Regulator Brugel, which requires the RAB surplus value to be amortised at the rate of the underlying asset, in accordance with accounting law.

3. STOCKS

Stock withdrawals are valued at the weighted average cost.

Articles other than those intended for street lighting that have not been moved for a period exceeding 12 months are subject to routine review:

- if they are not usable, they will be written off at 100%;
- if they are usable but the quantity held in stock exceeds five years of consumption, they are subject to a write-down of at least 50%.

Given their specific nature, items intended for public lighting which have not moved for a period exceeding 12 months are subject to routine review:

- if they are not usable, they will be written off at 100%;

In all other cases, any potential write-down is assessed individually.

4. RECEIVABLES DUE WITHIN ONE YEAR

The receivables under this heading are included at their nominal value. They include, in particular, amounts receivable from customers and municipalities for energy supplies, works and miscellaneous services. They are reduced by amounts considered irrecoverable, including those relating to known bankruptcies.

These irrecoverable receivables give rise to impairment losses charged to the income statement (Impairment losses on inventories, contracts in progress, and trade receivables – code 631/4, and more specifically Appendix 6.10 codes 9112). When part of the debt is subsequently recovered, the amount recovered is credited to the profit and loss account (write-downs on inventories, contracts in progress and trade debtors code 631/4, and more specifically in annex 6.10 codes 9113 or Other operating income under code 74).

For trade receivables relating to activities ancillary to the core business of managing the gas and electricity distribution networks in the Brussels-Capital Region, namely:

a) the mandatory supply of gas and electricity to “protected customers”
b) “breach of seals" situations
c) situations of "fraud"
d) other specific situations:
- radiator rentals
- fairs and events
- consumption without a contract (excluding fraud and breach of seals)
- miscellaneous services (minor works)

Sibelga has obtained a ruling from the Department of Advance Tax Rulings allowing it to book write-downs on these various categories of receivables. This ruling is based on a methodology that allows for tax deductibility in accordance with the provisions of Article 48 of the Income Tax Code (CIR) and Articles 22, 23 and 27 of the CIR Implementing Decree (AR/CIR).
The methodology consists of recognising impairment losses by category of receivables based on historical bad debt statistics for the years preceding the year under review.
This rate is adjusted each year according to the actual measured outcomes.

The Other receivables heading (class 41) includes an amount of short-term receivables from the affiliated company Atrias. This receivable has been maintained as short-term, given that it is a current account advance system set up with Atrias and that there is no information available to the Sibelga Board of Directors to establish a long-term/short-term reclassification.

5. CAPITAL GRANTS

The grants under this heading are depreciated at the same rate as the installations listed under the "Tangible fixed assets" item for which the grants were obtained.

6. PROVISIONS FOR RISKS AND CHARGES

These provisions are created on the basis of identified risks and are calculated in accordance with the decisions taken by the Board of Directors, taking into account the rules accepted by the regulator. In particular, provisions relating to non-manageable costs are no longer recognised, as they are covered by the regulatory rules currently in force. For provisions relating to manageable costs, the impact of any recognition is reflected in non-regulated activities, as the regulator no longer permits their inclusion in authorised regulated income.

7. AMOUNTS PAYABLE AFTER MORE THAN ONE YEAR AND WITHIN ONE YEAR

The amounts under these headings are included at their nominal value.

8. REGULARISATION ACCOUNTS (DEFERRED CHARGES AND ACCRUED INCOME)

Accruals and deferred income mainly include non-controllable regulatory balances. These will be allocated in accordance with measures to be determined by the competent regulator.

9. KPI INCENTIVES

KPI incentives are evaluated and awarded annually during the ex-post review of year N and are recognised in year N+1, in accordance with the tariff methodology established by Brugel. The result of the incentive regulation on KPIs for year N will therefore be recognised in principle in year N+1, once the regulator has determined its value.

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